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April 16, 1999

To: Members of the Executive Board

From: The Secretary

Subject: **Ghana—Request for Arrangements Under the Enhanced Structural Adjustment Facility**

Attached for consideration by the Executive Directors is a request from Ghana for arrangements under the Enhanced Structural Adjustment Facility. A draft decision appears on page 14. This subject, together with the policy framework paper for Ghana (EBD/99/53, 4/14/99), is tentatively scheduled for discussion on Monday, May 3, 1999.

Mr. S. Leite (ext. 38563) or Mr. Pellechio (ext. 38687) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Monday, April 26, 1999; and to the African Development Bank and the European Commission, following its consideration by the Executive Board.

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INTERNATIONAL MONETARY FUND

GHANA

**Request for Arrangements
Under the Enhanced Structural Adjustment Facility**

Prepared by the African Department

(In consultation with the Fiscal Affairs, Legal, Monetary and Exchange Affairs,
Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by Amor Tahari and Ishan Kapur

April 15, 1999

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EXECUTIVE SUMMARY

Background

- The Ghanaian authorities are requesting a new three-year ESAF arrangement as the current one, which was approved on June 30, 1995, expires in June 1999 and cannot be extended under the new ESAF procedures.
- During 1998, fiscal and monetary policies were implemented broadly in line with the program. All midterm quantitative performance criteria were observed, except for the nominal target for the domestic primary surplus, which was, nevertheless, observed in terms of GDP. Quantitative benchmarks for the end of the year were also met, except in the fiscal area where higher-than-expected domestic capital expenditures and interest payments caused the fiscal targets to be missed. The value-added tax was reintroduced at the end of 1998 and the separate governing boards of the tax agencies were replaced by a central revenue board. The Ghana Oil Company was offered for sale in October. Progress was made on structural reforms, but key measures in the energy and cocoa sectors, such as the privatization of the Tema Oil Refinery and the Produce Buying Company (PBC) were delayed.

The 1999–2001 program

- Ghana has made significant progress in reducing macroeconomic imbalances since early 1997. While macroeconomic stability will remain an important element of the government's medium-term program, a key objective for 1999–2001 will be to accelerate the pace of structural reform. The government intends to take significant steps to liberalize the cocoa and energy sectors, accelerate the divestiture of state enterprises, and strengthen the banking system. Public sector reforms will be carried out to limit the scope of the government to core areas, in particular, agriculture, the social sectors, and basic infrastructure. The diversification of exports, in general, and of agricultural exports, in particular, will be crucial for improving agricultural growth, a key condition for poverty reduction. Further trade liberalization will help increase the efficiency of the economy.
- Over 1999–2001, the government intends to reduce inflation to no more than 5 percent, lower the external current account deficit, including grants, to 2½ percent of GDP, and bring gross official reserves to three months of imports. Real GDP growth is projected to increase to 6 percent in 2000–2001.
- The objectives of the 1999 program are end-period inflation of 9 percent, an external current account deficit of 2.9 percent of GDP, and a US\$77 million increase in net foreign assets of the central bank. Real GDP is expected to grow by 5½ percent in 1999. Domestic budget financing will be limited to about 2.8 percent of GDP and the primary domestic balance will accumulate a surplus of about 3½ percent of GDP. Reserve money growth will be limited to 11½ percent so as to constrain monetary growth to 14½ percent.

I. INTRODUCTION

1. A mission visited Accra during February 11–25, 1999 to discuss a medium-term structural adjustment program covering the period January 1999–December 2001 that could be supported by a new three-year arrangement under the Enhanced Structural Adjustment Facility (ESAF).¹ The midterm review of the second annual arrangement under the current three-year ESAF arrangement and the 1998 Article IV consultation were concluded by the Executive Board on December 2, 1998. The government's letter of intent in Appendix I requests a new three-year ESAF arrangement and a reduction of the extension of the commitment period of the current three-year arrangement (EBS/95/76, Sup. 1) to the time elapsed at the time of the Board's approval of the new three-year ESAF arrangement. The commitment period of the current three-year arrangement was extended by one year on March 23, 1998 and cannot be extended any further under the ESAF Trust Instrument, as amended, which now limits to one year the period of extension of a commitment period. The current commitment period, which is due to expire on June 29, 1999, would not allow for the approval and disbursement of all the loans under a third annual arrangement. It would also prevent the approval of a new three-year arrangement before June 29, 1999, since the existing and new commitment periods cannot overlap under Section II, 1(b) of the ESAF Trust Instrument. Relations with the Fund are summarized in Appendix II and relations with the World Bank Group are described in Appendix III. A debt sustainability analysis is presented in Appendix IV, and statistical issues are covered in Appendix V.

2. In concluding the 1998 Article IV consultation and midterm review, Executive Directors commended Ghana's macroeconomic performance under the program for 1998. They noted the importance of continued financial discipline and the need to accelerate the pace of structural reform. They emphasized the importance of a successful introduction of the value-added tax (VAT) and the need to solve the problem of expenditure arrears in the road sector. Directors urged the implementation of productivity-enhancing initiatives in health and education to improve Ghana's social indicators and external competitiveness. They supported substantive measures to strengthen the banking sector, including decisive action to merge, liquidate, or privatize weak banks still in operation. Directors also encouraged decisive action on reforms in the cocoa and energy sectors, and warned against intervention in the foreign exchange market to slow the depreciation of the cedi.

¹The staff team comprised Messrs. Leite (head), Begashaw (resident representative), and Pellechio, and Ms. Zanforlin (all AFR), and Mrs. Khemani (PDR). World Bank staff participated in the discussions.

II. PERFORMANCE UNDER THE CURRENT ESAF-SUPPORTED PROGRAM

A. Overview

3. The second three-year ESAF arrangement, approved on June 30, 1995, aimed at reducing the inflation and financial imbalances triggered by a large increase in public spending in 1992, when Ghana held its first free elections under a new democratic constitution. This arrangement also supported major structural reforms designed to reduce government involvement in the economy.

4. Performance in 1996, however, was mixed. On one hand, the economy grew by almost 5 percent and inflation was halved from 71 percent at the end of 1995 to 33 percent at end-1996 (Table 1). On the other hand, in the second half of 1996, large slippages in fiscal performance in the runup to the elections took the program off track. The external situation deteriorated partly because the terms of trade worsened, but also because donors became concerned with the increasingly expansionary policies and reduced foreign aid flows. While not all structural performance criteria were observed, structural reforms progressed as state enterprises were privatized, farmers received a larger share of the export price for cocoa, and private buyers were allowed to purchase cocoa from farmers.

5. Ghana's macroeconomic performance improved in 1997 as budgetary discipline was restored and current account deficits contained, with the inflation rate declining to 21 percent from 33 percent in the previous year. The budget showed a significant domestic primary surplus of 3.2 percent of GDP, the highest level since commencement of the economic reform program in 1983. The automatic pricing mechanism for setting ex refinery prices of petroleum products with import prices was reinstated. These positive developments cleared the way for the second annual arrangement, which focused on further reductions in macroeconomic imbalances and the deepening of structural reforms.

B. Performance in 1998

6. During 1998, fiscal and monetary policies were implemented broadly in line with the program. All midterm quantitative performance criteria were observed, except for the nominal target for the domestic primary surplus, which was, nevertheless, observed in terms of GDP. Quantitative benchmarks for the end of the year were also met, except in the fiscal area where higher-than-expected domestically financed capital expenditure and interest payments caused the fiscal targets to be missed. Progress was made on structural reforms, but key measures in the energy and cocoa sectors, such as the privatization of the Tema Oil Refinery and the Produce Buying Company (PBC), the state enterprise that purchases 50–60 percent of the cocoa crop, were delayed.

C. Real Growth and Prices

7. Real GDP growth increased from 4.2 percent in 1997 to 4.6 percent in 1998 despite the drought-related energy crisis in the first half of the year. Because of the crisis, growth was about 1 percentage point less than originally projected. The crisis caused inflation to increase in March and April, owing to adverse effects on production and food supply. However, inflation resumed its declining trend in May and fell below 16 percent by the end of the year (Figure 1).

D. Fiscal Developments

8. The overall budget deficit on a commitment basis, including grants, was 8.1 percent of GDP in 1998, a decline of almost 2 percentage points of GDP from the previous year. Total revenue was below its projected level for the year as taxpayers waited for the reintroduction of the VAT in late December before rebuilding stocks. Domestic primary expenditure was broadly as programmed. As a result, the domestic primary surplus was 3.6 percent of GDP, which was less than targeted but an improvement from the 3.2 percent surplus in 1997 (Table 2 and Figure 2). Total expenditure exceeded its programmed level as domestic interest payments ran 1.4 percent of GDP higher than projected under the program (Table 3).² Also, the government, confronted with large road sector arrears, made an effort to reduce them beyond what had been contemplated in the program.³ Consequently, net domestic financing exceeded its target under the program by almost 2 percent of GDP.

9. Revenue reached 18.3 percent of GDP in 1998, an increase of 1 percentage point of GDP over 1997. Tariff measures were implemented in March 1998 to reduce the number of zero-rated goods and exemptions. To facilitate the shifting of zero-rated goods to a positive rate, a 5 percent rate was added to the existing rates of 10 percent and 25 percent. The VAT was reintroduced at the end of the year. The government replaced the separate governing boards of the tax agencies by a central revenue board to better coordinate activities and facilitate tax administration.

10. A positive development in expenditure management was the implementation ahead of schedule of the medium-term expenditure framework (MTEF) (Box 1).

²Interest rates failed to decline as fast as expected because of the Bank of Ghana's cautious monetary policy in response to the effect of the energy crisis on inflation.

³Poorly written contracts allowed construction companies to accelerate project implementation and add charges even when no budgetary appropriation had been made.

Box 1. Medium-Term Expenditure Framework

The medium-term expenditure framework (MTEF) is a comprehensive approach to budget preparation that integrates investment and recurrent expenditure into a unified three-year rolling budget. The MTEF is based on a planning exercise that combines top-down funding discipline and a decision-making process in which all government agencies participate. It clarifies the procedures, costs, and potential outcomes of resource allocation, thus requiring policy-makers to make choices based on comparisons of costs and benefits.

The MTEF process in Ghana started formally in June with cabinet approval for issuing the 1999 budget circular with preliminary ceilings for 1999–2001 derived from the policy framework paper. This was followed by a review of the responsibilities and objectives of ministries and their supervising departments and agencies (MDAs), the outputs produced to achieve these objectives, and the activities required to produce the outputs. MTEF workshops spanning the months of July and August provided senior managers and personnel from 11 MDAs and selected statutory institutions hands-on experience in applying the MTEF methodology. The process entailed the preparation of a strategic plan by each MDA to form the basis of budget estimates. Both at the aggregate and sectoral levels, an attempt was made to capture all expenditures, including those financed by MDAs' internally generated funds and external sources. Although the MTEF was to be implemented initially in the priority sectors of education, health, and roads, the authorities realized that its success depended on including all MDA's, rather than trying to pursue a dual budget process, and therefore decided to implement it for the entire budget.

The implementation of the MTEF approach to budgeting in Ghana is encouraging. In addition to the early expansion of its budget coverage, other developments include preparation of mission statements for all MDAs, the basing of budget estimates on the explicit costing of activities that are required to meet MDAs' objectives, and the withdrawal of the Ministry of Finance from involvement in the details associated with incremental budgeting by MDAs.

E. Monetary and Financial Sector Developments

11. The Bank of Ghana continued to tighten monetary policy by reducing the growth rate of reserve money to 17 percent during 1998 from 33 percent during 1997. As a result, broad money expanded by 18 percent, as compared with 41 percent during 1997, in line with its target (Table 4). Net domestic financing of the government by the banking system declined from about 4 percent of GDP in 1997 to 2 percent of GDP in 1998, which allowed credit to the private sector to expand by 31 percent, well in excess of nominal GDP growth.

12. The 91-day treasury bill rate declined to 26 percent in 1998 after remaining above 40 percent from the end of 1995 to the end of 1997. The decline in interest rates and inflationary expectations allowed the central bank to reduce its rediscount rate to 37 percent in November 1998 and to 32 percent in January 1999. In an effort to improve secondary market operations, the Bank of Ghana introduced a centralized book entry system in July and a master repurchase agreement in August.

13. During 1998, the cedi depreciated 4.3 percent against the U.S. dollar, an appreciation of 4.1 percent in real effective terms (Figure 1). While the real effective exchange rate has appreciated during 1998 as a whole, it has depreciated since August 1998. The foreign exchange bureau rate remained within 2-2½ percent of the interbank rate. The real effective

appreciation of the cedi has raised concerns among some market observers about possible excessive intervention to support the cedi and a loss of external competitiveness. Regarding central bank intervention in the foreign exchange market, although gross international reserves did not increase in 1998, a year in which exports were growing strongly, net foreign assets of the central bank increased by US\$100 million, US\$60 million in excess of the program, mostly as a result of large repayments of foreign liabilities in the Bank of Ghana's balance sheet, including debt to the Fund. Regarding loss of competitiveness, the analysis of a broad range of indicators shows a mixed picture with no clear-cut evidence of loss of competitiveness in 1998 (Figure 2). Moreover, nontraditional exports continued to grow strongly (54 percent) in 1998, albeit from a low base.

F. External Sector Developments

14. Ghana's current account deficit, including official transfers, improved markedly in 1998 to 3½ percent of GDP from 9 percent of GDP in 1997, reflecting strong export growth led by a good cocoa crop (Table 5). Net foreign assets of the Bank of Ghana increased by US\$100 million during 1998, despite smaller official capital inflows than in 1997 and higher amortization of external public debt. Nontraditional exports continued to grow sharply, expanding their share in Ghana's export value. Ghana met its external payments obligations, although small payments to Italy were delayed. Amortization payments for the large nonconcessional borrowing contracted in 1996 and 1997 weakened the capital account, but these were outweighed by the current account improvement.

G. Structural Reforms

15. Structural reforms have progressed, but more slowly than planned. In the cocoa sector, the farmers' share of the export price of cocoa was increased to 56 percent for the 1998/99 crop season, and licensed private buyers now purchase 40–50 percent of the crop. The offer for sale of the PBC, expected in June under the program, was delayed by discussions on the best way to promote competition.⁴ In the energy sector, the Public Utilities Reform Commission (PURC), established in late 1997 to set tariffs on an autonomous basis, raised electricity tariffs on average by 90 percent in February and 100 percent in October, thereby eliminating operating losses of the utility companies, and the government adopted a financial recovery plan to abolish their debt-service arrears.⁵ The PURC also raised water tariffs to eliminate operating losses. Uniform ex depot wholesale petroleum prices were introduced in October based on an automatic formula for adjusting them in line with

⁴The main question was whether to partition the PBC before divestiture or to divest it after selling off "nonessential" assets. In the end, the latter course of action was chosen, as partition was considered likely to significantly delay the divestiture process.

⁵The tariff increases were differentiated by class of consumer so as to protect low-income households.

petroleum import price changes. The Ghana Oil Company was offered for sale in October after a three-month delay owing to the government's decision to shift from a private to a public offering. The offer for sale of the Tema Oil Refinery was delayed until end-1999 because of the ongoing rehabilitation of the facility and restructuring of the company's finances.

III. MEDIUM-TERM ADJUSTMENT STRATEGY

16. Ghana has made significant progress in reducing macroeconomic imbalances since early 1997. While macroeconomic stability is an important element of the government's medium-term program, the objective of making Ghana a middle-income country by 2020 cannot be attained without decisive structural transformation.⁶ Consequently, another key objective for 1999–2001 will be to accelerate the pace of structural reform. The government intends to take significant steps to liberalize the cocoa and energy sectors, and strengthen the banking system. Public sector reforms will be carried out to limit the scope of the government to core areas, in particular, agriculture, the social sectors, and basic infrastructure. Achieving solid export growth is also crucial to ensure that Ghana's external position remains sustainable. The diversification of exports, in general, and of agricultural exports, in particular, will be crucial for improving agricultural growth, a key condition for poverty reduction.

17. Over 1999–2001, the government intends to reduce inflation to no more than 5 percent, lower the external current account deficit, including grants, to 2½ percent of GDP, and bring gross official reserves to three months of imports. Real GDP growth is projected to increase to 6 percent, thus allowing output per capita to increase by 3 percent on average in the next three years. The share of private investment in GDP is expected to rise by over 3 percentage points, as private sector activity is boosted by rising confidence and expanding business opportunities, such as in nontraditional exports (Table 9).

18. The government's macroeconomic objectives will be supported by adherence to prudent financial policies. The government will move toward overall budget balance, achieving domestic primary surpluses of at least 3½ percent of GDP, thereby reducing interest payments and ensuring that the ratio of domestic debt to GDP begins to decline by 2001. The net domestic financing of the government is projected to fall to 1.3 percent of GDP in 2001. The strengthening of the fiscal position is to be achieved by restraining the growth of expenditures and by increasing tax revenue collections to about 16½ percent of GDP in 1999–2001—notwithstanding the planned reduction of cocoa taxation and the tariff reform—through a broadening of the tax base and an improvement of tax administration. However, expenditures in health and education will be protected.

⁶Republic of Ghana, "Ghana–Vision 2020 (The First Step 1996–2000)," January 6, 1995.

19. Ghana's external situation will improve gradually over 1999–2001, with the current account narrowing from 3½ percent of GDP in 1998 to 2½ percent of GDP in 2001, and afterward declining slowly to about 2 percent over the medium term. Growth in the value of imports will be slow because of weak prices, in particular, of oil. Exports are projected to increase moderately because of an expected decline in the cocoa crop in 1999 and lower world prices. Gross international reserves will rise to three months of imports by 2001 and remain at this level over the medium term.

20. Ghana is one of the heavily indebted poor countries (HIPC) that has not fully used traditional debt relief mechanisms. An updated debt sustainability analysis, carried out in collaboration with the World Bank staff and the authorities, is reported in Appendix IV. It concludes that Ghana's external debt burden, though vulnerable to strong adverse external shocks, remains sustainable over the medium term without recourse to debt relief, provided Ghana adheres to a prudent external debt management strategy and adjustment efforts envisaged in the proposed program.

21. Ghana's public external debt, albeit held mostly on concessional terms, is relatively large at almost US\$6 billion (79 percent of GDP) at the end of 1998. On a net present value basis, the outstanding external debt of Ghana was equivalent to 198 percent of exports of goods and nonfactor services. The debt service ratio under the baseline scenario was 28 percent, but was expected to fall below 20 percent by 2001 without the use of traditional debt-relief mechanisms. These results, however, presuppose strict compliance with a program of macroeconomic adjustment and structural reform, including adherence to limits on nonconcessional borrowing and strong export growth, as well as the absence of external or production shocks.

22. Over the medium term, foreign aid is projected to decline but to remain at levels consistent with the program's import and growth targets. An alternative scenario has been developed to show the effects of a shortfall in foreign aid, which may cause Ghana to resort to nonconcessional loans. Another two scenarios cumulatively add reductions in exports growth and declines in cocoa prices to the first alternative scenario (Appendix Table 12). While in all of these scenarios the net present value of debt-to-exports ratio remains below 200 percent in the medium term, the debt-service ratio would be high in all alternative scenarios and, in the least favorable cases, would not decline below 20 percent even in the medium term.

IV. MAIN ELEMENTS OF THE 1999 PROGRAM

23. Consistent with the medium-term strategy, real GDP growth is projected at 5½ percent in 1999. The government is pursuing the following objectives in its 1999 program: (a) end-period inflation of 9 percent; (b) an external current account deficit of 2.9 percent of GDP; and (c) a US\$77 million increase in net foreign assets of the central bank. To achieve these objectives, domestic budget financing will be limited to about 2.8 percent of GDP, and the primary domestic balance will accumulate a surplus of about 3½ percent of GDP.

Monetary growth in 1999 is projected at 14½ percent, with reserve money set to grow by about 11½ percent.

A. Fiscal Policy

24. In the medium-term, the government will need to bring the revenue-to-GDP ratio to about 19 percent to avoid incurring excessive interest costs on its domestic debt or having to cut priority expenditures. This revenue level will need to be achieved in spite of expected declines in revenue owing to tariff reform and lower taxes on cocoa exports. Although the VAT was set at a relatively low rate of 10 percent, the authorities expect that it will produce higher revenues than the previous sales tax because of the expansion of the tax base to cover the retail sector and because of improvements in tax administration, including the taxpayer identification system and the establishment of a large taxpayers unit.⁷ Also, the authorities are making efforts to curtail tax and tariff exemptions. Moreover, the decline in world oil prices has made it possible for the government to extend the tax on petroleum products to more products. Finally, during 1999 direct taxes are likely to increase by about ½ of 1 percent of GDP as the effect of the energy crisis disappears.⁸

25. Nevertheless, the staff estimates that in order for the revenue-to-GDP ratio to reach 19 percent over the medium term, the VAT rate will need to be increased by 2001 at the latest. The authorities recognize that this is the most likely scenario, but they are encouraged by the early results of the reintroduction of the VAT and would like to avoid changing the VAT rate until the tax has become firmly accepted by taxpayers. They indicated that they will adjust the rate if developments during the next year show that maintaining the VAT tax rate at the present level would result in a decline in the revenue-to-GDP ratio, or broader fiscal slippages materialize.

26. Improvement of the **tariff structure** is continuing in 1999 with the abolition of the special tax of 17.5 percent on certain imported goods, which became effective in March 1999. The government is reviewing the tariff structure with a view to harmonizing rates with regional practices, reducing the range of exemptions, and narrowing the dispersion of rates. Specifically, the government will reduce the top tariff rate to the target set by the West African Economic and Monetary Union (WAEMU) (20 percent) effective January 1, 2000. In addition, the ongoing review of the tariff structure is expected to identify actions to gradually

⁷For example, importers without taxpayer identification numbers are now subject to a 5 percent income withholding tax on the value of their imports. The large taxpayers unit was established last year and is, as expected, collecting most of the tax revenues for which the Internal Revenue Service is in charge. Operations of this unit are expected to be integrated with those of the VAT Service in 1999.

⁸In particular, VALCO, an aluminum company and the largest corporate taxpayer, is expected to pay taxes again in 1999, whereas in 1998 it did not incur tax liabilities.

reduce the average tariff rate over the next three years to less than 10 percent, while taking steps to curtail exemptions. As a result of these measures, Ghana's trade restrictiveness index is expected to be reduced from 5 to 4.

27. **Arrears in the road sector** amounting to C130 billion, about 1 percent of GDP, were outstanding at the end of 1998, owing to contracts that allowed road construction to be carried out even without budget appropriation. To resolve this situation, the government has decided to terminate a number of contracts, to scale down domestically financed road projects, and to revise procedures for initiating projects and awarding new road contracts in line with World Bank procurement procedures. Outstanding road arrears will be reduced by C60 billion (0.3 percent of GDP) in 1999 and will be eliminated by end-2000. The staff is not aware of domestic arrears in other sectors. As part of the midterm review, the staff intends to once again assess expenditure controls and the need for technical assistance in this area.

28. A Central Management Board was appointed and given responsibility for negotiating the implementation of the **new salary structure**; these negotiations are to be completed by midyear. Public wage payments are expected to increase as a share of GDP by 0.3 percentage points in 1999 as the new public service salary structure is implemented. This increase is seen as necessary to achieve a smooth transition to the new salary structure, but wages are expected to decline in proportion to GDP after 1999 as **public sector reform** proceeds with the commercialization and closing down of subvented agencies and streamlining of government agencies.

29. Noninterest recurrent domestic spending other than wages will increase slightly relative to GDP. Expenditures are shifted to health and education, raising their shares in domestic primary expenditure and GDP (Table 3). Domestically financed capital spending will increase by 0.3 percentage point of GDP. Interest payments are expected to decline substantially as interest rates continue to fall, reducing net domestic financing of the budget to 2.8 percent of GDP.

30. Use of the MTEF will be expanded to support expenditure management and control. A preliminary set of expenditure rules has been put in place, which the government intends to finalize in 1999. A computer-based Budget and Public Expenditure Management System (BPEMS) is being developed and is expected to be fully operational by the end of 2000. The new rules and the BPEMS are expected to improve expenditure control, cash management, and projection of overall borrowing requirements.

B. Monetary Policy

31. Monetary policy in 1999 will be directed at reducing inflation to 9 percent by the end of the year. Consistent with this objective and with projected real GDP growth of 5½ percent, the Bank of Ghana will aim at limiting monetary growth to 14½ percent. The monetary growth target will be achieved by limiting the growth of reserve money to 11½ percent. An

increase in the money multiplier is expected as the financial deepening continues. Bank financing of the budget is projected to be C210 billion, about 1 percent of GDP, allowing credit to the private sector to expand by 17½ percent. The monetary authorities intend to improve liquidity projections, which have in the past caused problems for monetary control. In that context, the government will step up its efforts to prepare accurate weekly cashflow projections. The projected reduction in inflation and domestic financing of the budget, along with improvements in the operation of the treasury bill market, including greater use of repurchase agreements, is expected to support a further decline in interest rates.

32. The market will continue to determine Ghana's exchange rate, with the Bank of Ghana's interventions directed at dampening short-run volatility of the cedi and achieving the program target of increasing its net foreign assets by US\$77 million during 1999. Gross international reserves are projected to rise to about 2.7 months of imports. The Bank of Ghana will take steps before end-1999 to deepen the foreign exchange market, and has requested Fund assistance in achieving this objective. In this context, surrender requirements will be assessed and, if needed, modified.

C. External Policy

33. Ghana's external position in 1999 is expected to improve only marginally as exports increase slightly, owing to the projected decline in the export volume and price of cocoa, and to modest growth in gold export receipts. The slow growth in the value of imports reflects in large part the projected decline in oil prices. The volumes of both oil and non-oil imports (other than those tied to externally financed projects) are expected to expand broadly in line with real GDP. The projected current account deficit for 1999 is 2.9 percent of GDP, lower than the 3.5 percent of GDP recorded in 1998.

34. Ghana's total external financing requirements during 1999–2001 are estimated at about US\$2.5 billion (Table 8). For 1999, the program is fully financed, while for 2000–01 financing will need to be firmed up at the next Consultative Group meeting, planned for late 1999.

D. Structural Issues

35. The government's program of structural reforms is described in the memorandum of economic and financial policies for 1999 (Appendix I) and policy framework paper (EBD/99/53, 4/14/99). Key reform areas in 1999 include the cocoa and energy sectors, the banking system, and divestiture program. The **medium-term strategy for the cocoa sector** is described in Box 2. The authorities believe that this strategy will best serve the interests of the country during the next three years, but are prepared to take bolder steps, as needed, in the light of its experience and that of its competitors; they will assess the progress during the first phase of reforms with a view to moving toward a fully competitive system with open entry.

Box 2. Medium-Term Cocoa Strategy

The cabinet approved a medium-term cocoa strategy in March 1998 aimed at ensuring that Ghana remains a leading cocoa producer in the next decade. The objective of the strategy is not only to increase cocoa yields in line with the best practices of competitors, but also to raise incomes in the rural sector and achieve better equity in taxation. This strategy is the culmination of a process that began in September 1998 with the appointment of a task force with wide representation from stakeholders to assess the situation and recommend remedial measures. The reports and recommendations of the task force were the object of a national workshop in January 1999. The workshop provided the basis for the medium-term strategy to be implemented under a committee chaired by a deputy minister of finance. The main elements of the strategy are:

- **Production.** Increasing production to about 500,000 mt by the 2004/05 crop year by significantly increasing the role of the private sector in the marketing and export of the cocoa crop;
- Maintaining high quality standards, by retaining the cocoa marketing board (Cocobod) in a regulatory and quality control role, while markedly reducing its share in the f.o.b. price;
- Modernizing cocoa production methods through cost-efficient procedures to expand cocoa research and foster high yield varieties, such as the unification of the extension services of the Cocobod and the Ministry of Agriculture and the privatization of seedpod and seedlings production and distribution;
- Setting up a special project for the control of Cocoa Swollen Shoot Virus Disease;
- **Marketing.** Increasing the producer prices to at least 60 percent of the f.o.b. price for the 1999/2000 season and thereafter by at least 2 percentage points in each of the next two years;
- Completing the privatization of the domestic purchase of the cocoa crop by outsourcing the sale of the Produce Buying Company (PBC) in March 1999 and offering it for sale by mid-1999 in time for the new owners to participate in the purchase of the 1999/2000 crop;
- Eliminating the monopoly on cocoa exports of the Cocoa Marketing Company (CMC) by allowing qualified licensed buying companies (LBCs) to export at least 30 percent of their domestic purchases starting with the 2000/01 crop;
- Increasing competition in the domestic purchases of cocoa by giving LBCs equal access to Cocobod's warehouses and crop financing;
- Abolishing price discounts on exportable cocoa to domestic processors, while allowing them to import lower grade cocoa from other producers; and
- **Taxation.** Reducing gradually the tax on cocoa from the current level of 26 percent of the f.o.b. price to not more than 15 percent by the 2004/05 crop season.

Once the private sector begins exporting cocoa, the Bank of Ghana will review the existing surrender requirements for export receipts with a view to deepening the foreign exchange market.

36. A new Bank of Ghana bill will be placed before parliament before the end of the year with a view to ensuring greater autonomy and accountability of the central bank, and granting it sufficient authority to effectively supervise the financial system. It is envisaged that, inter alia, procedures for handling distressed banks will be strengthened, an issue of some relevance

to the ongoing **bank restructuring** efforts (see Box 3). A new banking law to modernize regulatory practices will also be submitted to parliament before the year's end. In this context, the capital adequacy ratio will be changed so as to comply with Basle Committee guidelines.⁹

37. The government has embarked on a long-term project of **public sector reform** aimed at reorienting its activities toward core areas, particularly social sectors and basic infrastructure. Reports on institutional restructuring and on remuneration systems have been prepared and discussed with stakeholders and will provide a good basis for reforms in these areas.¹⁰ A key goal is the streamlining of central management agencies and the rationalization of 175 subvented agencies, which employ about 400,000 staff. A pilot program to commercialize, restructure, or close down at least 17 agencies will be completed by the end of 2001; enabling legislation will be presented to parliament in 1999. The government is introducing in 1999 a uniform salary and grading structure for the civil service, based on the recommendations of the Price Waterhouse report.

38. The government has recently completed a comprehensive review of its **divestiture program** and has prepared a work program for 1999–2000 covering about 80 state-owned enterprises. Among the enterprises allotted for divestiture, there are several economically significant enterprises, such as Tema Oil Refinery, Ghana Airways, Ghana Oil Company, Electricity Company of Ghana, Ghana Water and Sewerage Co., Ghana Ports and Harbors Authority, Ghana Railways Corporation, and parts of the Volta River Authority. The government will seek to attract more investor interest by using experienced sales advisors and by improving the disclosure of information on the program. In addition, it will enhance the transparency of the divestiture program through timely publication of audited financial statements of the Divestiture Implementation Committee.

39. In the **energy sector**, the government will expand the role of the private sector while shifting its own focus from production and marketing and toward regulation. A Statement of Sector Development Policy is being drafted and will be discussed with stakeholders in 1999. The existing power utilities will complete the implementation of their financial recovery plans and the PURC will issue guidelines for setting electricity tariffs, which are expected to give greater transparency and predictability to that process. The Volta River Authority (VRA) is being reorganized with the transmission of electricity transferred to the National Grid Company, and VRA's thermal power plants divested. The Electricity Company of Ghana (ECG) is being restructured and will be offered for sale by end-1999. The West Africa Gas

⁹The present capital adequacy requirements, while not conforming strictly to the Basle Committee guidelines, are generally adequate.

¹⁰Government of Ghana, "Public Sector Re-Invention and Modernization Strategy for Ghana," National Institutional Renewal Programme, December 1997 and Price Waterhouse, "Final Report: Technical Assistance to Facilitate the Development and Implementation of the Medium- and Long-Term Public Sector Salaries and Wages Policy," December 1997.

Box 3: Bank Restructuring

The banking system in Ghana comprises 17 banks and 107 rural banks. In 1998, the top five banks accounted for 76 percent of assets and 78 percent of deposits. The banks in which the government has a majority interest are gradually losing market share but still account for about $\frac{1}{2}$ of total credit to the private sector and $\frac{1}{3}$ of total deposits. Nonperforming loans are high, representing 27 percent of total credit to the private sector. However, most nonperforming loans are concentrated in three banks, two of which publicly owned. When these banks are excluded from the calculation, the ratio falls to 14 percent. Public sector banks hold about 84 percent of total nonperforming loans in the system. The weighted average of nonperforming loans to total loans for the public sector is 22 percent while that for mixed ownership and privately owned banks is around 2 percent. Thirty-two percent of total assets and 27 percent of total deposits were held in foreign currency at end-1998. Eight banks had net open foreign exchange positions in excess of 30 percent of shareholders' funds, making them vulnerable to changes in the exchange rate. A new foreign exposure regulation was in December 1998 and will be effective in mid-1999. All banks but three have a capital adequacy ratio as defined by the Basle Committee, above 10 percent.

Since the mid-1980s, the government has been taking gradual steps to foster a sound and competitive financial system, including the divestiture of publicly owned banks. As part of the 1999–2001 structural adjustment program, the authorities decided to step up their efforts to deal with weak banks, which so far have been permitted to operate despite their failure to meet prudential requirements. The government (and the Bank of Ghana) will take steps to complete the divestiture of its shares in financial institutions other than the Agricultural Development Bank (ADB) and will withdraw by end-September 1999 the licenses of banks that do not meet the capital adequacy requirement of the Banking Law of 1989. In March 1999, banks not complying with the capital adequacy ratio were asked to prepare monitorable business plans with quarterly targets and were instructed to invest any additional deposits in government securities. More generally, the Bank of Ghana will streamline regulations for entry and exit in the industry and has lifted the freeze on applications for banking licenses; however, it will continue to assess applicants using strict professional and financial standards.

In case the government needs to withdraw licenses from some banks, it will act in such a way as to fully protect depositors while ensuring that outstanding loans are recovered. In doing so, the government may have to provide assistance in the form of government securities to make it attractive for other banks to assume the deposits of the failing banks. Present plans are to use transferable securities carrying market interest rates; these securities could be discounted with the central bank at the prevailing rediscount rate. According to World Bank estimates the likely size of the operation is in the US\$30–50 million range after taking into account both performing assets and liabilities. The projected interest cost to the government has been included in the budget projections for 2000 and 2001. The performance criterion on net domestic financing of the government will be adjusted as needed—up to US\$50 million—to accommodate the issuance of government securities for bank restructuring purposes. The authorities hope to obtain World Bank support, through an augmentation of the second Economic Reform Support Operation (ERSO II), to reduce the cost of the operation.

Pipeline is under consideration by the government in partnership with the private sector to meet Ghana's long-term energy needs; its feasibility studies are expected to be completed by mid-1999. Regarding petroleum, regulations will be completed by the end of 1999 to ensure competition among petroleum retailers and remove the government from the process of setting retail margins. The financial restructuring of the Tema Oil Refinery (TOR) will be completed by June 1999, which should permit TOR to be offered for sale by year's end.

40. The medium-term strategy emphasizes **education and health** as the government believes that, without significant increases in labor productivity, it will be difficult to achieve the high levels of sustainable growth that are required to reduce poverty decisively. Sectoral expenditure programs have been drawn for education and health and are being implemented with donor support. The government has set a number of ambitious targets for education and health and has put into place monitoring systems to ensure that increased resources are accompanied by better results in the delivery of these services. This strategy has proved itself

in the case of education, as remedial measures were implemented once slippages were noted in indicators of learning and teaching achievement. Results in health are encouraging, with the eradication of polio, guinea worm, and leprosy within reach. On **poverty reduction**, improvements in agriculture and rural development are crucial as most of the poverty is concentrated in the rural sector. A national poverty-reduction plan for 1999–2001 is being prepared in collaboration with donors. The fourth Ghana Living Standards Survey, to be completed in 1999, will play an important role in monitoring the government's efforts to raise living standards and reduce income disparities and the incidence of absolute poverty.

E. Statistical Issues

41. Statistical reporting remains weak and will continue to require government attention in the next three years (Appendix V). The government intends to conduct a housing and population census in 2000. It will publish the results of the fourth Ghana Living Standards Survey by the third quarter of 1999. The Ghana Statistical Service will continue its review of the methodology used to compile national accounts; it will publish updated national accounts (sources and uses) with a lag of at most six months. The government will assess and explain before June 1999 the discrepancy between the trade data obtained from the Automated System for Customs Data (ASYCUDA) and those tabulated by the Customs, Excise, and Preventive Services; it will ensure that national accounts and balance of payments data reflect the conclusions of that assessment.¹¹ Finally, the government will reduce lags in reporting consumer prices and monetary accounts to not more than one month and budget execution data to six weeks. Technical assistance from the Fund in national accounts as well as monetary statistics is expected to be made available to assist the authorities to further improve economic data.

F. Program Monitoring

42. The government has taken prior actions in a number of key areas of reform to underscore its commitment to the strategy described in the attached memorandum of economic and financial policies (Appendix I). In particular, the cabinet approved a medium-term cocoa strategy along the lines described in Box 2 in March 1999. It has announced that it will ensure equal access to Cocobod's (the cocoa marketing board) crop financing and warehousing facilities for all licensed buying companies. The government has also defined clear targets for its divestiture program and rescinded the freeze on the licensing of new banks.

43. Performance through end-1999 will be monitored on the basis of the following quantitative performance criteria (for end-June 1999 and end-December 1999) and

¹¹This reconciliation is particularly important as it could significantly affect GDP estimates.

benchmarks (for end-March 1999 and end-September 1999): (a) government revenue;¹² (b) domestic primary balance of the government budget; (c) net domestic financing of the government budget; (d) reserve money; (e) net foreign assets of the Bank of Ghana; (f) new nonconcessional external borrowing; and (g) the stock of external short-term debt (Appendix I, Table 1). The nonaccumulation of new external payments arrears will also constitute a performance criterion, applying on a continuous basis. Structural performance criteria and benchmarks are shown in Table 2 of Appendix I.

44. Pursuant to the new procedures for disbursements of ESAF arrangement loans, the disbursements will be phased uniformly, with two test dates (end-June and end-December) in each program year. The first disbursement will be made upon Board approval and the second and every subsequent disbursement will be conditional on observance of the set performance criteria and completion of a Board review. The first Board review is tentatively scheduled for November 1999 and will focus on progress in cocoa and financial sector reforms, and specific future steps in trade liberalization.

G. Access, Capacity to Repay, and Risks

45. Proposed access under the ESAF arrangement will be 42 percent of Ghana's quota under the Eleventh General Review of Quotas, which translates to about 57 percent of the quota under the Ninth General Review of Quotas (equivalent to SDR 155 million), to be disbursed in seven equal installments. As this will be Ghana's third three-year ESAF arrangement, access is appropriately lower than in the earlier three-year arrangement, which was approved at 60 percent of quota (of which 50 percent of quota was drawn). At the same time, the arrangement allows some protection from uncertainties in the cocoa sector (where prices have been plunging in recent months) and recognizes the fact that Ghana was not in a position to benefit fully from the commitment under the earlier three-year ESAF arrangement owing to a change in the ESAF Trust Instrument, which now limits to one year the period of extension of a commitment period.

46. Ghana made payments to the Fund of US\$173 million in 1997 and US\$148 million in 1998, representing 32 percent and 26 percent of total debt service due, respectively. Starting from 1999 these will taper off to 6 percent of total debt service due in 2003, before rising subsequently to over 16 percent in 2007, assuming the request for the new three-year ESAF arrangement is approved (Table 7). Given this profile and also Ghana's past excellent record of meeting its debt-service obligations to the Fund, it is expected that the government will discharge these future obligations in a timely manner.

47. Ghana's macroeconomic stability and structural reforms were adversely affected by election year pressures both in 1992 and 1996, when expansionary financial policies derailed the adjustment effort. Similar events cannot be allowed to happen in 2000, when new

¹² Benchmark only.

elections are expected to take place. While the government seems firm in its resolve to carry out the much-needed reforms, it is imperative that strong progress be achieved early in the arrangement period to generate momentum and discourage backtracking in 2000. The program therefore emphasizes prior actions and policy announcements, as well as close monitoring of macroeconomic trends and medium-term budgetary procedures, such as the MTEF.

48. There is significant consensus within the Ghanaian civil society in favor of focusing government priorities on core issues, including agriculture, education, health, and basic infrastructure. Progress in these areas should strengthen support for the program. The authorities believe strongly in consensus building, and the cocoa strategy, in particular, has been widely discussed with stakeholders. While consensus building reduces the likelihood of policy reversals, it sometimes results in delays and in overly cautious approaches to problems. A strong leadership role by government will therefore continue to be needed to strike a reasonable balance, particularly in areas that may prove controversial, such as in divestiture. While divestiture is accepted by a majority, there is no consensus about the approach to reach that objective: either share flotation in the stock exchange or direct sales. If the government is not able to stand firm in individual divestiture cases, it is possible that the process will continue to show stop-and-go patterns.

49. Ghana has better than average human resources when compared with other sub-Saharan countries. However, technical assistance is still needed to improve program implementation, although the government is sometimes reluctant to request early assistance before problems become serious.¹³ Technical assistance in the form of short-term visits by experts, leaving policy implementation clearly in the hands of Ghanaian nationals, could be a way to resolve the problem, while at the same time increasing program ownership.

V. STAFF APPRAISAL

50. Ghana's economic performance in 1998 was strong despite serious energy shortages early in the year. Real GDP growth increased, inflation fell, real interest rates plummeted, the overall budget deficit declined, the external current account improved, and gross international reserves rose. Quantitative benchmarks for December 1998 were observed, except for the domestic primary surplus, which nevertheless increased by about ½ of 1 percentage point of GDP, and the net domestic financing of the government, which was missed because of higher-than-expected interest payments. The Bank of Ghana kept reserve money within its target, and broad money expansion was in line with the program.

¹³The specific areas of assistance are described in the policy framework paper (EBD/99/53; 4/14/99), together with the expected contribution of the Fund and the World Bank to meet these requests.

51. The structural reforms appear to be picking up speed and the commitment to reforms strengthening. While the offers for sale of the PBC and the Tema Oil Refinery were postponed by one year, a number of important structural measures were undertaken: the VAT was reintroduced; a central revenue board was set up to coordinate revenue agencies; tariff dispersion was reduced; the medium-term expenditure framework was introduced ahead of schedule; electricity and water tariffs were increased sharply; the Ghana National Petroleum Corporation debt to the central bank was repaid; the Ghana Oil Company was offered for sale; and the producers' share in the f.o.b. price of cocoa was raised.

52. On the downside, the accumulation of domestic arrears to road contractors and the continued real effective appreciation of the cedi raised questions about the effectiveness of existing expenditure controls and the operation of the floating exchange rate system, respectively. Regarding road arrears, the government has already moved to terminate problem-prone contracts and has put in place a plan for eliminating existing arrears. Regarding exchange rates, the macroeconomic policies in place are consistent with a greater stability of the real effective exchange rate in 1999. The staff has found little evidence of the use of the use of administrative measures in support of the cedi. As part of the program, the Bank of Ghana has agreed to review existing foreign exchange market procedures, including surrender requirements, with a view to deepen the market, and has requested Fund assistance in this area. It reiterated that its market presence will continued to be guided by the net foreign assets target with only minimal intervention to avoid exchange rate volatility.

53. In his address at the opening of the parliament in January 1999, President Rawlings highlighted the commitment of his government to the "Ghana—Vision 2020" strategy. The strategy calls for a commitment to an open and liberal market economy, underpinned by measures to foster private investment, human development, basic infrastructure, and a supportive legal and administrative environment. The structural adjustment program in support of which the Ghanaian authorities are requesting a new three-year ESAF arrangement is fully consistent with the Ghana—Vision 2020 strategy, but it sets shorter-term objectives to ensure that this development strategy is implemented without delay.

54. The staff agrees that the program's focus on cocoa sector reforms, bank restructuring, and divestiture is appropriate. Without significant progress in these areas, the objective of transforming Ghana into a middle-income country within one generation cannot be attained. Strong macroeconomic performance will, however, continue to be crucial and will depend on further fiscal consolidation, including the success of the VAT, strengthening of expenditure controls, particularly on road projects, and public sector reforms. Limits on net government borrowing both domestically and externally, and particularly on nonconcessional terms, will also be important to ensure that interest costs and government indebtedness remain sustainable.

55. Proper administration of the VAT will be critical. The staff is encouraged by the resources, collection enforcement, and audit plans of the VAT Service. However, the staff believes that equity and efficiency considerations will require reductions in cocoa export taxes

and average tariff rates over the medium term. These measures are likely to cause revenue losses and require an increase in the VAT rate—by 2001, at the latest. The authorities agree in principle with the staff but would prefer to increase the VAT rate only after taxpayer acceptance of the tax is secure. The staff is willing to wait another year before making a final assessment of the need for a VAT rate increase.

56. The staff is encouraged by the progress made in the implementation of the medium-term expenditure framework and associated improvement in budget preparation and decision making. The continued success of the MTEF in Ghana will depend on making improvements in several critical related areas, including timely release of funds for budget execution (including foreign assistance), accurate cash flow forecasting, effective expenditure management and control, and macroeconomic performance monitoring for ongoing review of MTEF assumptions. The government should, therefore, persist in its efforts in this area, with the assistance of the Fund and World Bank.

57. The government is taking a deliberate approach to the public sector reforms, consulting extensively with stakeholders and the World Bank. However, the implementation calendar cannot continue to be extended into the future. The staff supports the introduction of the new and streamlined wage structure, but it is concerned that the new structure will result in an increase, albeit modest, of the wage bill as a proportion of GDP. While the wage bill is expected to decline in subsequent years, this development is conditional on progress in commercializing, restructuring, and liquidating subvented and central management agencies. Since the pilot project for reform of subvented agencies is moving slower than originally planned and is now expected to be completed in 2001 only, the staff urges the authorities to accelerate completion of this task.

58. The medium-term cocoa strategy is cautious, but the authorities have indicated their willingness to take additional measures in response to developments in cocoa markets and as they gain experience with more open marketing and export arrangements. Extensive consultations with stakeholders should ensure that the announced reforms command considerable support in the cocoa sector and will not be easily reversed.

59. The staff is encouraged by the authorities' commitment to take swift actions, including bank closures, to remove existing weaknesses in the financial sector while fostering competition. The staff believes that the financial sector measures scheduled for implementation in 1999, including the withdrawal of licenses from banks not complying with prudential requirements, modernization of the central bank and banking laws, strengthening of bank supervision, tightening of prudential regulations, divestiture of state-owned banks, greater use of repurchase agreements, and strengthening of the payments system, represent a comprehensive plan of action for achieving a strong, efficient financial sector.

60. The divestiture work program proposed by the authorities is appropriately ambitious covering a large number of enterprises, including a critical mass of large enterprises and financial institutions. In the past, however, the program has experienced difficulties in

completing divestitures, owing to lack of investor interest—in some cases, as a result of due diligences that exposed deficiencies in the enterprises offered for sale. The staff urges the authorities to engage experienced sales advisors as a way of generating additional investor interest and to be realistic in their estimation of the value of the enterprises offered for sale. The staff believes that the measures aimed at increasing the transparency of the divestiture process will help make the program successful.

61. The improvement in Ghana's balance of payments in 1998 was significant, but estimates for 1999 show a slowdown in export growth, owing to the cocoa production cycle and a weakening of world prices for Ghana's exports. In 1999—and even more markedly in 2000—there will be a bulge in debt-service payments. These trends underscore the continuing vulnerability of the external situation of Ghana, a conclusion that was confirmed by the debt sustainability analysis. The government will be approaching donors late in the year with requests for assistance in 2000–01. As long as the authorities maintain their commitment to sound economic policies, the assistance would be justified, and early indications of support would be helpful for planning purposes.

62. In summary, the staff is of the view that the proposed adjustment program is appropriate, containing an ambitious but achievable agenda of structural reforms. In light of the actions already taken and the strength of the program, the staff recommends approval by the Executive Board of the authorities' request for a new three-year ESAF arrangement. The staff also supports the request for a reduction of the commitment period of the present three-year ESAF arrangement (EBS/95/76, Sup. 1; 6/27/95).

VL PROPOSED DECISIONS

The following draft decisions are proposed for adoption by the Executive Board:

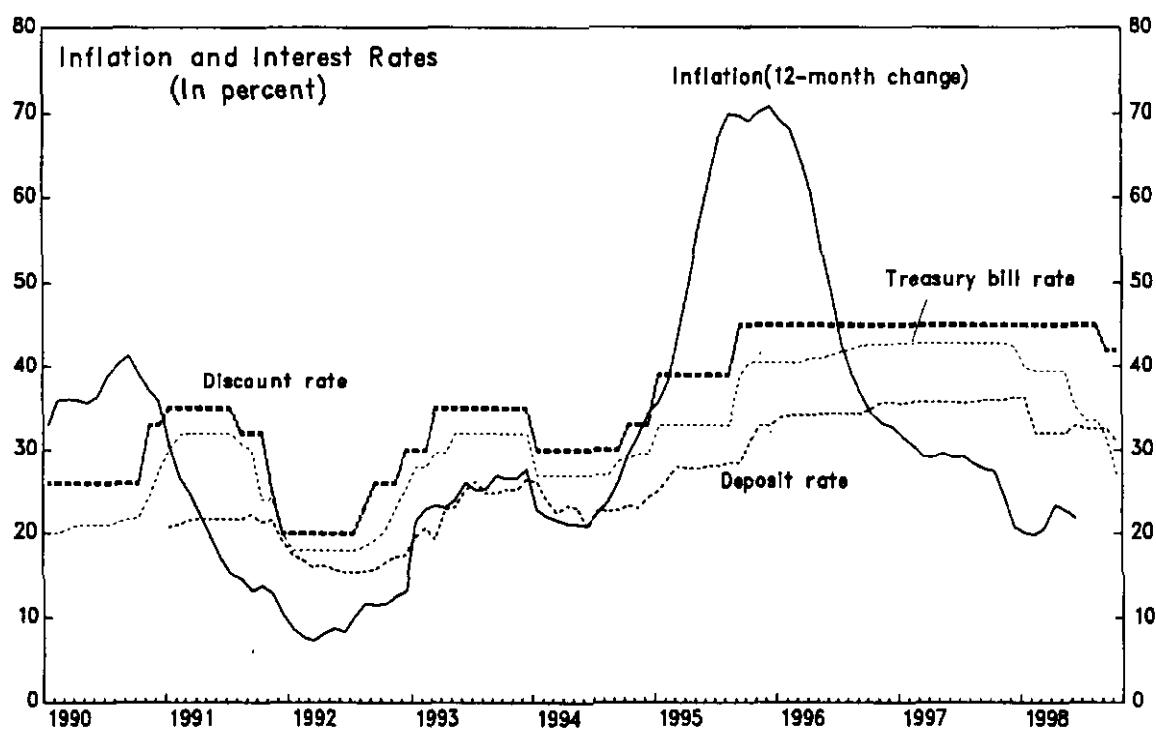
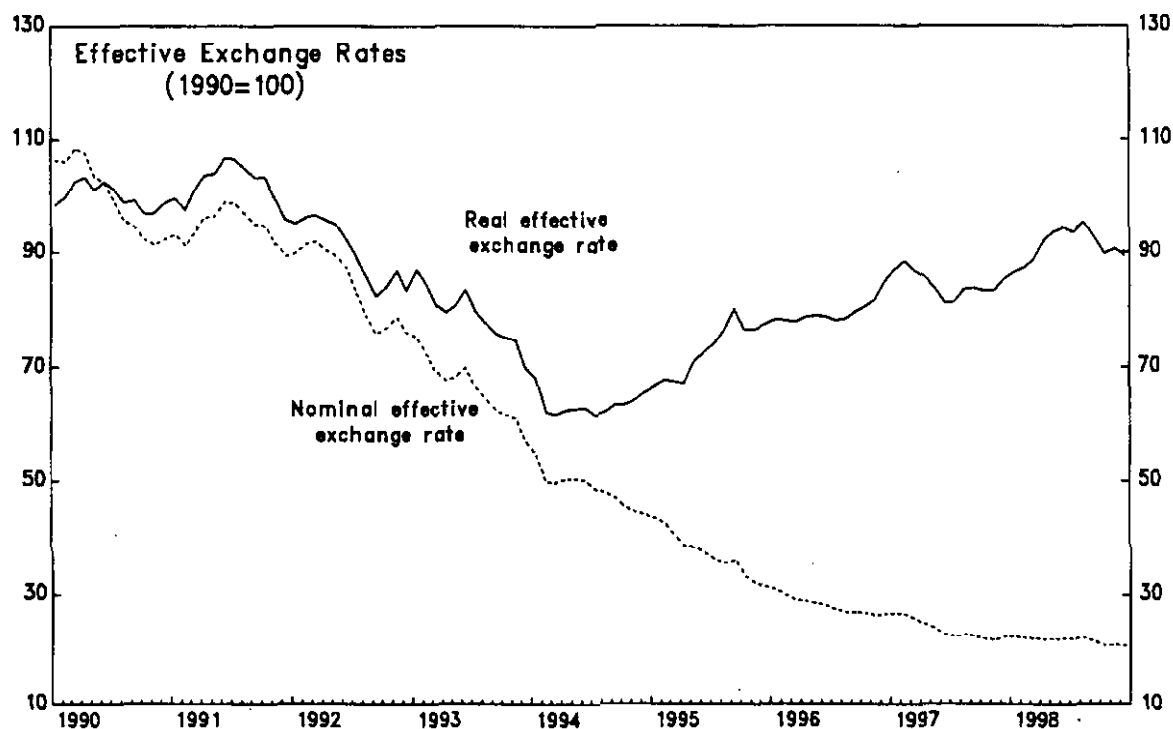
A. Reduction of period of extension of commitment period

1. The government of Ghana has requested that the extension of the commitment period of the three-year arrangement for Ghana (EBS/95/76, Sup.1) be reduced to the time elapsed at the time of this decision.
2. The Fund approves the request.

B. Three-year ESAF arrangement

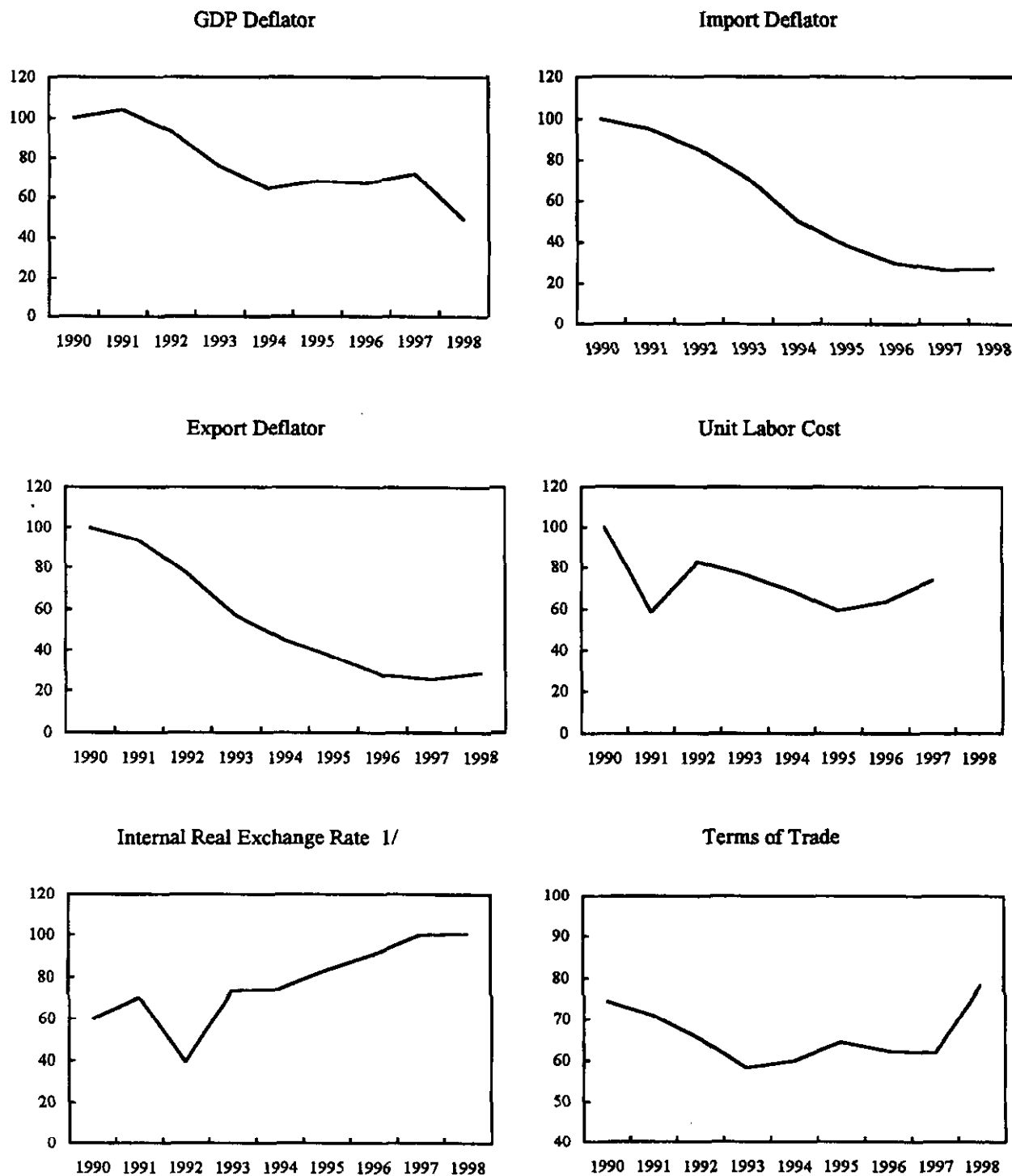
1. The government of Ghana has requested a new three-year arrangement under the Enhanced Structural Adjustment Facility in an amount equivalent to SDR 155 million.
2. The Fund notes the Policy Framework Paper for Ghana set forth in EBD/99/53.
3. The Fund approves the arrangement set forth in EBS/99/57.

Figure 1. Ghana: Effective Exchange Rates and Inflation,
 January 1990–December 1998



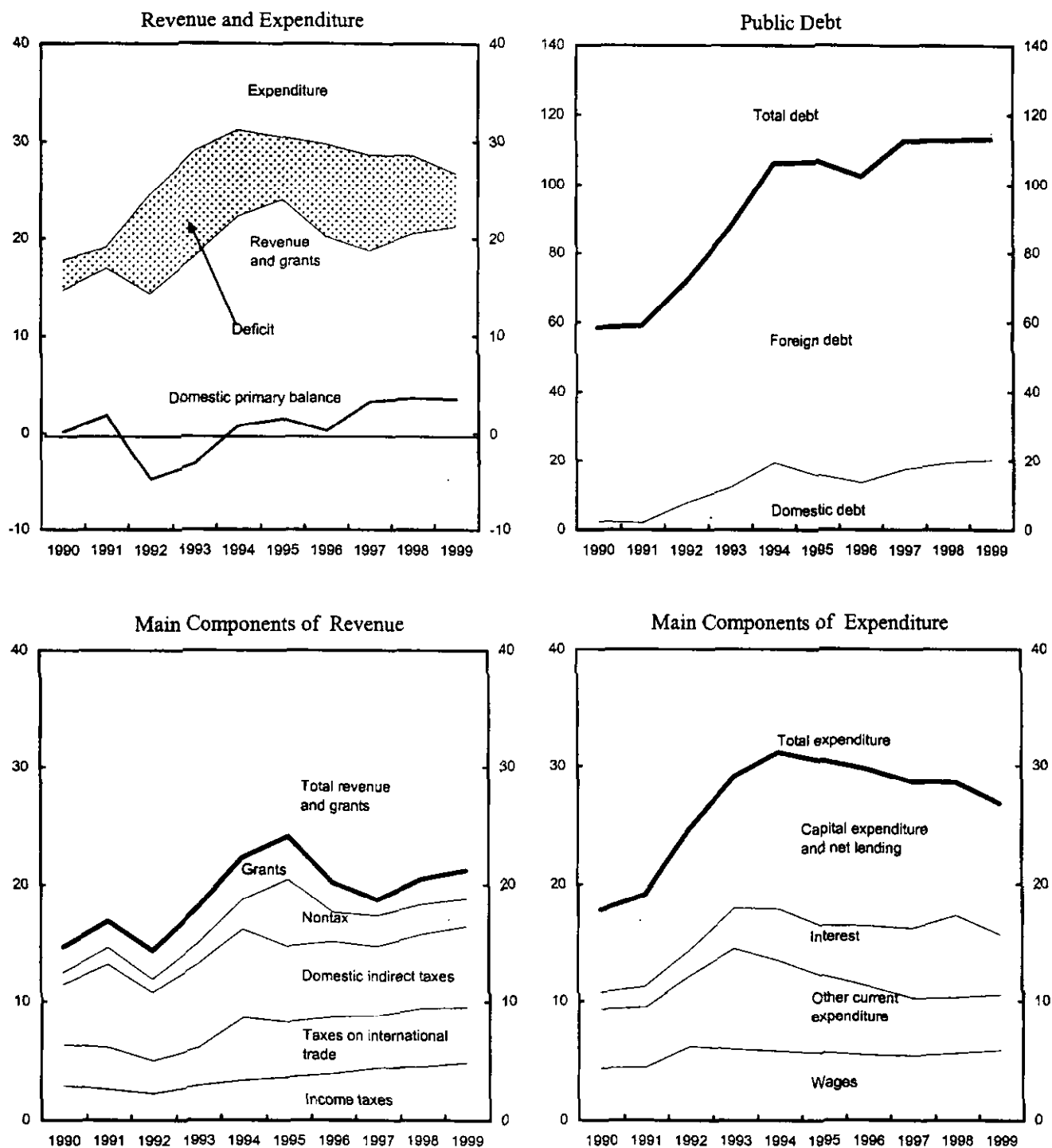
Sources: Ghanaian authorities; and Fund staff estimates.

Figure 2. Ghana: Alternative Real Exchange Rate Indicators, 1990-98
 Index 1990=100



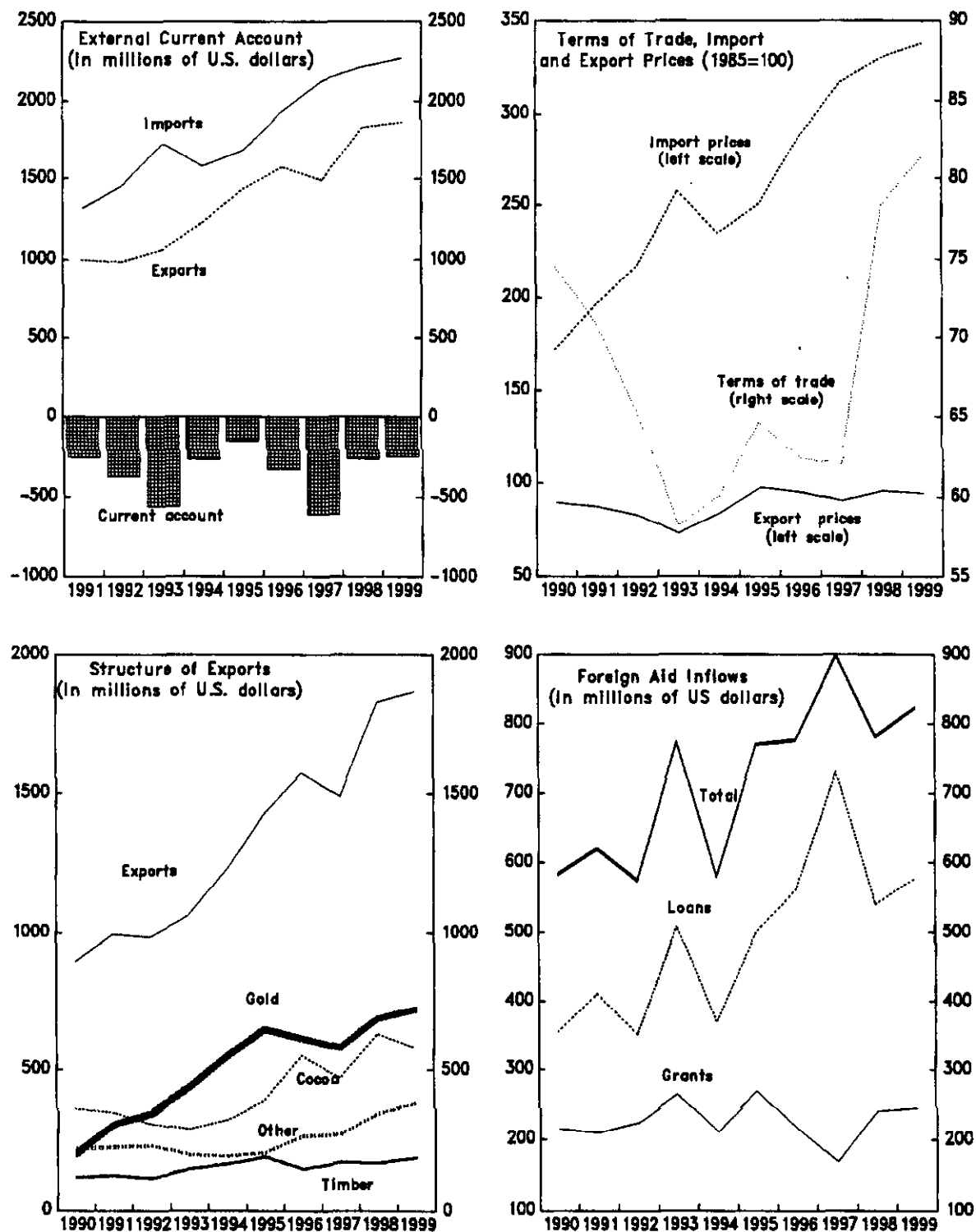
Source: IMF, Information Notice System and WEO.
 1/ Index, 1997=100

Figure 3. Ghana: Central Government Finances, 1990-98
(In percent of GDP)



Sources: Ghanaian authorities; and Fund staff estimates and projections.

Figure 4. Ghana: Main External Indicators, 1990-99



Sources: Ghanaian authorities; and staff estimates and projections.

Table 1. Ghana: Selected Economic and Financial Indicators 1996-2001

	1996	1997	1998		1999	2000	2001
			Prog.	Prel.	Prog.	Prog.	Prog.
(Annual percentage change, unless otherwise specified)							
National income and prices							
Real GDP	4.6	4.2	5.6	4.6	5.5	6.0	6.0
Real GDP per capita	1.8	1.5	2.8	1.8	2.7	3.2	3.2
Nominal GDP	46.3	24.5	25.1	23.0	14.6	13.7	12.2
GDP deflator	39.8	19.5	20.6	17.6	8.6	7.4	5.9
Consumer price index (annual average)	46.6	27.9	15.5	19.3	10.0	6.4	5.0
Consumer price index (end of period)	32.7	20.8	11.0	15.8	9.0	5.0	5.0
External sector							
Exports, f.o.b.	9.9	-5.2	9.7	22.8	2.7	12.8	13.8
Imports, f.o.b.	15.0	9.9	9.8	4.0	1.8	9.3	10.4
Export volume	12.5	-0.7	7.5	16.3	3.5	9.2	7.8
Import volume	13.8	14.4	10.3	24.5	7.1	6.2	6.2
Terms of trade	-3.3	-0.7	2.6	26.4	4.3	0.3	1.5
Nominal effective exchange rate 1/	-26.8	-14.7	...	-9.2	...	...	...
Real effective exchange rate 1/	12.2	7.2	...	7.8	...	...	...
Cedis per U.S. dollar 1/	1,637	2,050	...	2,314	...	...	...
Government budget							
Domestic revenue	26.1	22.5	30.4	29.8	17.7	14.4	13.2
Total expenditure	42.8	19.8	25.3	22.7	7.4	9.0	6.6
Current expenditure	46.5	22.7	18.9	31.4	3.8	4.2	7.7
Capital expenditure and net lending 2/	38.6	16.4	35.3	11.4	12.8	15.8	5.3
Money and credit 3/							
Net domestic assets 4/	32.3	33.5	9.5	15.5	8.6	11.7	7.3
Credit to government 4/	12.8	22.0	9.2	10.5	5.4	...	...
Credit to the rest of the economy 4/	15.7	20.9	5.3	13.0	8.1	...	...
Broad money (including foreign currency deposits)	39.7	40.8	18.0	17.7	14.6	13.7	12.2
Reserve money	44.3	33.4	17.0	16.7	11.4	11.2	10.9
Velocity (GDP/average broad money)	5.6	4.9	5.0	4.4	4.4	4.4	4.4
Treasury bill rate (in percent; end of period)	42.8	40.0	...	26.8	...	...	...
(In percent of GDP, unless otherwise specified)							
Investment and saving							
Gross investment	21.5	24.1	17.9	22.9	23.7	24.7	25.4
Private	8.2	11.7	5.5	11.6	12.6	13.4	14.8
Public	13.3	12.4	12.4	11.3	11.1	11.3	10.6
Gross national saving	16.7	15.4	13.7	19.4	20.8	22.2	23.0
Private	13.7	15.0	8.3	16.2	15.2	15.5	16.0
Public	3.0	0.4	5.4	3.2	5.6	6.6	7.0
Government budget							
Domestic revenue	17.6	17.3	18.3	18.3	18.8	18.9	19.1
Total grants	2.6	1.4	2.9	2.2	2.4	2.0	1.7
Total expenditure 2/	29.7	28.6	27.5	28.6	26.8	25.6	24.4
Overall balance (commitment basis)	-9.5	-9.9	-6.3	-8.1	-5.5	-4.7	-3.6
Domestic primary balance	0.3	3.2	3.8	3.6	3.5	3.6	3.7
Divestiture receipts	1.3	0.7	0.8	0.6	0.5	0.4	0.2
External sector							
Current account balance 5/	-4.7	-8.8	-4.2	-3.5	-2.9	-2.5	-2.4
External debt outstanding	84.2	82.5	95.2	79.2	76.9	74.6	71.4
External debt service, including to the Fund	8.9	7.6	8.7	7.5	6.2	6.7	5.3
(in percent of exports of goods and nonfactor services)	35.7	31.6	33.2	28.1	24.5	24.7	18.7
(in percent of government revenue)	38.7	44.9	38.1	34.7	29.8	26.2	20.3
(In millions of U.S. dollars, unless otherwise specified)							
Current account balance 5/	-328	-603	-290	-261	-234	-211	-227
Overall balance of payments	-14	25	119	99	77	34	88
External payments arrears (end of period)	0	0	0	0	0	0	0
Gross international reserves (end of period)	591	508	478	502	561	616	730
(in months of imports, c.i.f.)	4.4	2.6	2.7	2.5	2.7	2.8	3.0
Use of Fund resources							
Purchases/disbursements	27	41	110	111	61	60	60
Repurchases/repayments	86	-165	137	105	78	39	35
Credit outstanding	377	354	317	321	316	337	362
Quota (in millions of SDR)	274	274	274	274	369	...	...
Nominal GDP (in billions of cedis)	11,339	14,113	17,655	17,357	19,885	22,619	25,378

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Annual average data.

2/ Including capital outlays financed through external project aid and transfers to the local authorities.

3/ From December 1996, the coverage was increased from 11 to 17 banks.

4/ In percent of broad money at the beginning of the period.

5/ Including official grants.

Table 2. Ghana: Central Government Budgetary Operations and Financing, 1997-2001

(In billions of cedis, unless otherwise specified)

1-Apr-99 02:03 PM	1997	1998	1998	1999				2000	2001
				Q1	Q2	Q3	Q4		
		Prog.			Prog.			Prog.	Prog.
Total revenue and grants	2,637	3,746	3,552	844	1,902	3,028	4,221	4,736	5,275
Total revenue	2,447	3,236	3,177	732	1,603	2,606	3,738	4,275	4,839
Tax revenue	2,070	2,798	2,728	621	1,378	2,230	3,263	3,735	4,233
Direct taxes	606	784	761	163	429	680	946	1,101	1,236
Company tax	293	381	319	75	215	341	472	553	621
Other direct taxes	313	403	441	89	214	339	474	548	615
Indirect taxes	833	1,115	1,099	304	615	959	1,375	1,587	1,836
Sales tax/VAT	407	564	556	166	322	499	714	831	984
Of which : on imports	209	282	275	73	117	213	330	383	457
Petroleum	314	371	384	91	199	315	460	524	588
Other indirect taxes	112	180	159	46	94	145	200	232	264
Trade taxes	630	899	869	154	334	591	942	1,047	1,162
Import duties	364	509	468	112	239	378	557	614	668
Cocoa export duty	266	390	400	42	95	213	385	433	494
Nontax revenue	377	438	448	111	226	376	475	540	606
Grants	191	510	375	112	299	422	483	461	436
Project grants	127	444	277	65	203	326	360	361	347
Program grants	64	65	98	47	96	96	123	100	88
Total expenditure	4,039	4,857	4,955	1,134	2,534	4,002	5,320	5,798	6,183
Recurrent expenditure	2,283	2,802	3,000	724	1,503	2,296	3,114	3,244	3,493
Non-interest	1,447	1,832	1,786	453	952	1,518	2,098	2,375	2,652
Wages and salaries	751	940	957	248	522	832	1,150	1,276	1,401
Goods and services	284	390	369	90	190	302	418	486	558
Subventions	211	290	257	64	134	213	295	339	385
Transfers to households	202	212	203	51	107	170	236	273	309
Interest	836	970	1,214	271	551	778	1,017	869	842
Domestic	645	671	903	205	411	586	755	565	554
External	191	299	311	66	140	192	262	304	288
Capital expenditure (total)	1,756	2,056	1,955	410	1,031	1,707	2,206	2,554	2,690
Capital expenditure (domestic)	542	737	760	167	402	673	937	1,088	1,245
Capital expenditure (foreign)	1,214	1,318	1,196	243	629	1,034	1,269	1,466	1,445
Overall balance (commitment basis)	-1,402	-1,112	-1,404	-290	-632	-974	-1,100	-1,062	-908
(in percent of GDP)	-9.9	-6.3	-8.1	-1.5	-3.2	-4.9	-5.5	-4.7	-3.6
Domestic arrears (net change)	-84	-48	-104	-15	-30	-45	-60	-70	0
Overall balance (cash basis)	-1,486	-1,160	-1,508	-305	-662	-1,019	-1,160	-1,132	-908
Divestiture receipts	106	150	100	10	40	70	100	100	50
Total financing	1,380	1,010	1,408	295	622	949	1,060	1,032	858
Foreign (net)	654	458	535	19	186	500	504	420	526
Borrowing	1,171	1,140	1,134	211	585	1,066	1,268	1,424	1,369
Project loans	1,087	874	918	178	426	707	910	1,104	1,097
Program loans	83	266	216	33	159	359	359	320	272
Amortization	-516	-682	-599	-192	-399	-566	-764	-1,004	-843
Domestic (net)	726	552	873	275	436	448	556	612	332
Banking system	528	307	350	104	160	170	210	250	175
Nonbanks	198	245	523	171	276	278	346	362	157
Memorandum items:									
Domestic primary balance	458	667	631	113	249	416	703	812	942
(in percent of GDP)	3.2	3.8	3.6	0.6	1.3	2.1	3.5	3.6	3.7
Primary balance	-566	-142	-190	...	...	...	-83	-193	-66
Health expenditure 1/	137	202	202	...	...	...	265	327	349
Education expenditure 1/	511	666	662	...	...	...	804	937	1,045
Defense expenditure	88	133	133	...	...	...	158	171	183
Stock of domestic debt	2,459	...	3,347	...	...	...	4,001	4,582	4,914
Interest adjustment 2/	...	...	42	...	...	...	...	...	...
GDP at current market prices	14,113	17,655	17,357	19,885	19,885	19,885	19,885	22,619	25,378

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Excludes foreign-financed capital expenditure.

2/ Shift in interest cost of treasury bill discounting from time of maturity to issue.

Table 3. Ghana: Central Government Budgetary Operations and Financing, 1997-2001
(In percent of GDP)

1-Apr-99 02:03 PM	1997	1998	1998	1999				2000	2001
				Q1	Q2	Q3	Q4		
	Prog.				Prog.			Prog.	Prog.
Total revenue and grants	18.7	21.2	20.5	4.2	9.6	15.2	21.2	20.9	20.8
Total revenue	17.3	18.3	18.3	3.7	8.1	13.1	18.8	18.9	19.1
Tax revenue	14.7	15.8	15.7	3.1	6.9	11.2	16.4	16.5	16.7
Direct taxes	4.3	4.4	4.4	0.8	2.2	3.4	4.8	4.9	4.9
Company tax	2.1	2.2	1.8	0.4	1.1	1.7	2.4	2.4	2.4
Other direct taxes	2.2	2.3	2.5	0.4	1.1	1.7	2.4	2.4	2.4
Indirect taxes	5.9	6.3	6.3	1.5	3.1	4.8	6.9	7.0	7.2
Sales tax/VAT	2.9	3.2	3.2	0.8	1.6	2.5	3.6	3.7	3.9
Of which : on imports	1.5	1.6	1.6	0.4	0.6	1.1	1.7	1.7	1.8
Petroleum	2.2	2.1	2.2	0.5	1.0	1.6	2.3	2.3	2.3
Other indirect taxes	0.8	1.0	0.9	0.2	0.5	0.7	1.0	1.0	1.0
Trade taxes	4.5	5.1	5.0	0.8	1.7	3.0	4.7	4.6	4.6
Import duties	2.6	2.9	2.7	0.6	1.2	1.9	2.8	2.7	2.6
Cocoa export duty	1.9	2.2	2.3	0.2	0.5	1.1	1.9	1.9	1.9
Nontax revenue	2.7	2.5	2.6	0.6	1.1	1.9	2.4	2.4	2.4
Grants	1.4	2.9	2.2	0.6	1.5	2.1	2.4	2.0	1.7
Project grants	0.9	2.5	1.6	0.3	1.0	1.6	1.8	1.6	1.4
Program grants	0.5	0.4	0.6	0.2	0.5	0.5	0.6	0.4	0.3
Total expenditure	28.6	27.5	28.6	5.7	12.7	20.1	26.8	25.6	24.4
Recurrent expenditure	16.2	15.9	17.3	3.6	7.6	11.5	15.7	14.3	13.8
Non-interest	10.3	10.4	10.3	2.3	4.8	7.6	10.5	10.5	10.4
Wages and salaries	5.3	5.3	5.5	1.2	2.6	4.2	5.8	5.6	5.5
(in percent of tax revenue)	36.3	33.6	35.1	39.9	37.9	37.3	35.2	34.2	33.1
Goods and services	2.0	2.2	2.1	0.5	1.0	1.5	2.1	2.2	2.2
Subventions	1.5	1.6	1.5	0.3	0.7	1.1	1.5	1.5	1.5
Transfers to households	1.4	1.2	1.2	0.3	0.5	0.9	1.2	1.2	1.2
Interest	5.9	5.5	7.0	1.4	2.8	3.9	5.1	3.8	3.3
Domestic	4.6	3.8	5.2	1.0	2.1	2.9	3.8	2.5	2.2
External	1.4	1.7	1.8	0.3	0.7	1.0	1.3	1.3	1.1
Capital expenditure (total)	12.4	11.6	11.3	2.1	5.2	8.6	11.1	11.3	10.6
Capital expenditure (domestic)	3.8	4.2	4.4	0.8	2.0	3.4	4.7	4.8	4.9
Capital expenditure (foreign)	8.6	7.5	6.9	1.2	3.2	5.2	6.4	6.5	5.7
Overall balance (commitment basis)	-9.9	-6.3	-8.1	-1.5	-3.2	-4.9	-5.5	-4.7	-3.6
Domestic arrears (net change)	-0.6	-0.3	-0.6	-0.1	-0.2	-0.2	-0.3	-0.3	0.0
Overall balance (cash basis)	-10.5	-6.6	-8.7	-1.5	-3.3	-5.1	-5.8	-5.0	-3.6
Divestiture receipts	0.7	0.8	0.6	0.1	0.2	0.4	0.5	0.4	0.2
Total financing	9.8	5.7	8.1	1.5	3.1	4.8	5.3	4.6	3.4
Foreign (net)	4.6	2.6	3.1	0.1	0.9	2.5	2.5	1.9	2.1
Borrowing	8.3	6.5	6.5	1.1	2.9	5.4	6.4	6.3	5.4
Project loans	7.7	4.9	5.3	0.9	2.1	3.6	4.6	4.9	4.3
Program loans	0.6	1.5	1.2	0.2	0.8	1.8	1.8	1.4	1.1
Amortization	-3.7	-3.9	-3.5	-1.0	-2.0	-2.8	-3.8	-4.4	-3.3
Domestic (net)	5.1	3.1	5.0	1.4	2.2	2.3	2.8	2.7	1.3
Banking system	3.7	1.7	2.0	0.5	0.8	0.9	1.1	1.1	0.7
Nonbanks	1.4	1.4	3.0	0.9	1.4	1.4	1.7	1.6	0.6
Memorandum items:									
Domestic primary balance	3.2	3.8	3.6	0.6	1.3	2.1	3.5	3.6	3.7
Primary balance	-4.0	-0.8	-1.1	...	...	...	-0.4	-0.9	-0.3
Health expenditure 1/	1.0	1.1	1.2	...	...	...	1.3	1.4	1.4
(In percent of dom. primary exp.)	6.9	7.9	7.9	...	...	...	8.7	9.4	9.0
Education expenditure 1/	3.6	3.8	3.8	...	...	...	4.0	4.1	4.1
(In percent of dom. primary exp.)	25.7	25.9	26.0	...	...	...	26.5	27.1	26.8
Defense expenditure	0.6	0.8	0.8	...	...	...	0.8	0.8	0.7
Stock of domestic debt	17.4	...	19.3	...	...	...	20.1	20.3	19.4

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Excludes foreign-financed capital expenditure

2/ Shift in interest cost of treasury bill discounting from time of maturity to issue

Table 4. Ghana: Monetary Survey, 1996-99
(In billions of cedis, unless otherwise specified; end of period)

	1996	1997	1998	1998	1999			
			Prog.	Act.	Mar. Prog.	June Prog.	Sep. Prog.	Dec. Prog.
Bank of Ghana								
Net foreign assets	28	92	215	330	312	123	235	561
Net domestic assets	871	1,111	1,193	1,074	990	1,167	1,042	1,003
Claims on government (net)	289	134	200	-223	-366	-247	-361	-380
Claims on deposit money banks	9	33	9	11	9	9	9	9
Claims on public enterprises	146	76	14	10	11	11	12	12
Bank of Ghana bills/liquidity management (-)	-518	-195	-190	-1	0	0	0	0
Other items, net (assets +)	945	1,062	1,160	1,276	1,336	1,394	1,382	1,361
Reserve money (RM)	899	1,203	1,408	1,403	1,302	1,291	1,277	1,564
Currency outside banks	721	982	1,125	1,084	970	937	917	1,195
Bank reserves	169	212	274	313	324	346	352	361
Cash	43	58	51	60	62	67	68	70
Deposits	125	155	223	253	262	279	285	292
Nonbank deposits	10	9	9	7	7	7	7	8
Deposit money banks 1/								
Net foreign assets	610	720	879	554	494	507	548	558
Reserves	201	219	274	313	324	346	352	361
Bank of Ghana bills	475	178	174	0	0	0	0	0
Credit from Bank of Ghana	-29	-44	-20	-11	-9	-9	-9	-9
Domestic credit	699	1,936	2,416	3,140	3,414	3,579	3,731	3,821
Claims on government (net)	-39	635	876	1,342	1,588	1,525	1,649	1,708
Claims	89	681	896	1,418	1,522	1,578	1,588	1,628
Liquidity management	...	...	...	...	143	24	138	156
Deposits	-129	-46	-20	-76	76	76	76	76
Claims on the private sector 2/	738	1,301	1,540	1,798	1,826	2,054	2,082	2,113
Of which								
In foreign currency	90	331	409	429	442	458	475	488
Other items, net (assets +)	-329	-679	-979	-1,179	-1,297	-1,286	-1,433	-1,456
Total deposits	1,627	2,330	2,784	2,816	2,926	3,137	3,190	3,275
Monetary survey 1/								
Net foreign assets	638	812	1,094	884	806	631	783	1,119
Net domestic assets	1,719	2,508	2,824	3,023	3,098	3,451	3,331	3,358
Domestic credit	1,134	2,146	2,629	2,926	3,059	3,344	3,381	3,453
Claims on government (net)	249	769	1,076	1,118	1,222	1,278	1,288	1,328
Claims on the private sector 2/	885	1,377	1,554	1,808	1,837	2,065	2,093	2,125
Bank of Ghana bills held by nonbanks	-37	-17	-16	-1	0	0	0	0
Other items, net (assets +)	622	379	211	98	38	107	-50	-95
Broad money 3/	2,358	3,320	3,918	3,907	3,903	4,082	4,114	4,477
Currency	721	982	1,125	1,084	970	937	917	1,195
Deposits	1,637	2,339	2,793	2,823	2,933	3,144	3,197	3,283
Of which								
Foreign currency deposits	531	729	909	672	687	705	727	740
(in millions of U.S. dollars)	305	324	344	287	287	287	287	287
Memorandum items:								
Broad money (12-month change in percent)	39.7	40.8	18.0	17.7	17.5	16.7	16.5	14.6
Reserve money (12-month change in percent)	44.3	33.4	17.0	16.7	15.7	15.1	16.5	11.4
Credit to the private sector (12-month change in percent)	...	52.6	12.8	31.3	21.1	25.1	25.4	17.5
Currency-M2 ratio	0.31	0.30	0.29	0.28	0.25	0.23	0.22	0.27
Velocity (GDP/average of M2)	5.6	4.9	5.0	4.4	...	...	...	4.4
Reserve money multiplier (M2/RM)	2.6	2.8	2.8	2.8	3.0	3.2	3.2	2.9
Currency-to-deposits ratio	0.44	0.42	0.40	0.38	0.33	0.30	0.29	0.36
Bank reserves-to-deposits ratio	0.10	0.09	0.10	0.11	0.11	0.11	0.11	0.11
Broad money (cedi M2)	1,827	2,591	3,009	3,620	3,617	3,795	3,827	4,191

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ From December 1996, the coverage was increased from 11 to 17 deposit money banks.

2/ Including public enterprises.

3/ Including foreign currency deposits.

Table 5. Ghana: Balance of Payments, 1996-2001

	1996	1997	1998 Est.	1999 Prog.	2000 Prog.	2001 Prog.
(In millions of U.S. dollars, unless otherwise specified)						
Exports, f.o.b.	1,573	1,491	1,830	1,880	2,119	2,412
Cocoa beans and cocoa products	552	470	629	589	669	773
Gold	612	580	688	722	779	846
Timber and timber products	147	172	170	188	218	243
Others	262	269	344	380	454	550
Imports, f.o.b.	-1,937	-2,128	-2,213	-2,253	-2,463	-2,719
Non-oil	-1,679	-1,894	-2,007	-2,065	-2,236	-2,468
Oil	-258	-234	-207	-189	-227	-251
Trade balance	-364	-638	-383	-374	-343	-307
Services (net)	-446	-485	-487	-476	-497	-551
of which: interest payments	-155	-145	-151	-129	-133	-158
Private transfers (net)	276	360	378	380	418	439
Current account balance, excluding official transfers	-534	-763	-492	-470	-422	-419
Official transfers (net) 1/	206	160	230	235	197	160
Current account balance, including official transfers 2/	-328	-603	-261	-235	-225	-260
Capital account (medium and long term)	421	555	243	312	187	265
Official capital (net)	351	500	254	267	87	165
Long-term loans	233	257	194	274	265	260
Inflows	287	291	240	332	335	330
Amortization	-54	-34	-47	-58	-70	-70
Medium-term loans	118	243	60	-7	-178	-95
Inflows	274	439	300	246	153	145
Amortization	-156	-196	-240	-253	-331	-240
Private capital	70	55	-11	45	100	100
Other capital and errors and omissions	-107	73	118	0	0	0
of which: change in NFA of comm. banks	-55	8	84	20	0	0
Overall balance	-14	25	100	77	-38	5
Change in arrears	-100	0	0	0	0	0
Financing	114	-25	-100	-77	-34	-88
Debt deferral	100	0	0	0	0	0
Net foreign assets	14	-25	-100	-77	-34	-88
Net international reserves	14	-25	-100	-77	-34	-88
Use of Fund credit	-86	-166	-28	-17	21	26
Purchase (GRA)	0	0	0	0	0	0
Repurchase (GRA)	-25	-47	-33	0	0	0
Disbursements (SAF/ESAF)	40	0	111	61	60	60
Repayments (SAF/ESAF)	-101	-118	-105	-78	-39	-35
Other reserves (increase -)	100	141	-72	-59	-55	-114
Bilateral payment agreements	0	0	0	0	0	0
Financing gap 3/	0	0	0	0	72	83
Memorandum items:						
Current account deficit (in percent of GDP)						
Excluding official transfers	7.7	11.1	6.6	5.8	4.9	4.5
Including official transfers 4/	4.7	8.8	3.5	2.9	2.5	2.4
Gross international reserves						
End of period (millions of U.S. dollars)	591	508	502	561	616	730
In months of imports (c.i.f.)	4.4	2.6	2.5	2.7	2.8	3.0
Cocoa exports						
Volume (in thousands of tons)	394	315	382	360	396	434
Price (in U.S. dollars per ton)	1,374	1,473	1,660	1,600	1,650	1,750

Sources: Bank of Ghana; and Fund staff estimates and projections.

1/ For the program period 1999-2001, includes only fully identified program grants.

2/ The current account figure does not assume full financing of the program as shown in Table 1.

3/ Financing gap for the program period 1999-2001 is defined as difference between assumed and fully committed /identified program support

4/ For 2000 and 2001 assumes that the financing gap is filled.

Table 6. Ghana: External Financing Requirements and Sources, 1996-2001

	1996	1997	1998	1999	2000	2001
(In millions of U.S. dollars)						
Current account	-534	-763	-492	-470	-422	-419
(excluding official transfers)						
Exports, f.o.b.	1,573	1,491	1,830	1,880	2,119	2,412
Imports, f.o.b.	-1,937	-2,128	-2,213	-2,253	-2,463	-2,719
Services (net)	-446	-485	-487	-476	-497	-551
Private transfers	276	360	378	380	418	439
Capital account	-373	-267	-318	-345	-340	-245
Scheduled amortization	-210	-230	-286	-311	-401	-310
IMF repayments	-125	-166	-139	-78	-39	-35
Other capital (net) 1/	-37	128	107	45	100	100
Change in official reserves (increase -)	100	140	-72	-59	-55	-114
Change in arrears (decrease -)	-100	0	0	0	0	0
External financing requirements	-906	-890	-882	-874	-817	-778
Expected disbursements	806	890	882	874	745	695
Grants	206	160	230	235	197	160
Project	153	128	188	185	159	127
Program	52	31	42	51	38	33
Concessional loans	561	730	540	579	488	475
Project	487	690	447	438	367	375
Program	74	41	93	146	121	100
IMF	40	0	111	61	60	60
Financing gap	0	0	0	0	73	83

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Including errors and omissions.

Table 7. Ghana: Indicators of Fund Credit, 1997-2007

	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
	Projections										
	(In millions of U.S. dollars, unless otherwise stated)										
Outstanding Fund credit											
In million of U.S. dollars	353.6	321.2	316.2	336.7	362.4	377.5	356.8	315.6	261.7	207.2	144.6
In million of SDRs	257.0	236.9	224.5	239.4	257.8	268.3	253.3	223.7	185.5	146.9	102.5
In percent of quota	93.8	86.5	60.9	64.9	69.9	72.7	68.6	60.6	50.3	39.8	27.8
In percent of GDP	5.1	4.3	3.9	3.9	3.9	3.7	3.2	2.6	2.0	1.4	0.9
In percent of exports of goods and non-factor services	21.4	16.0	15.4	14.6	13.9	13.0	11.0	8.8	6.6	4.8	3.0
Debt service due to the Fund 1/											
In million of U.S. dollars	176.2	147.6	80.9	42.3	37.6	18.5	24.3	44.7	56.6	57.0	64.9
In million of SDRs	128.0	108.8	57.5	30.1	26.8	13.2	17.3	31.7	40.1	40.4	46.0
In percent of quota	46.7	39.7	15.6	8.2	7.3	3.6	4.7	8.6	10.9	10.9	12.5
In percent of exports of goods and nonfactor services	10.6	7.4	3.9	1.8	1.4	0.6	0.8	1.3	1.4	1.3	1.4
In percent of debt service due	33.7	26.2	16.1	7.4	7.7	4.3	5.8	10.6	14.1	14.3	16.5
In percent of gross official reserves	34.7	29.4	14.4	6.9	5.2	2.3	2.8	4.6	5.4	5.0	5.2
Gross Fund financing											
In million of U.S. dollars	0.0	111.5	60.5	60.5	60.5	30.3	0.0	0.0	0.0	0.0	0.0
In million of SDRs	0.0	82.2	43.0	43.0	43.0	21.5	0.0	0.0	0.0	0.0	0.0
In percent of Ghana's gross financing need	0.0	11.3	6.6	6.6	6.9	3.9	0.0	0.0	0.0	0.0	0.0
Memorandum items:											
Exchange rate (U.S. dollars per SDR)	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4	1.4
Quota (in millions of SDRs)	274	274	369	369	369	369	369	369	369	369	369
GDP	6,885	7,501	8,070	8,544	9,261	10,137	11,043	12,129	13,273	14,524	15,930
Debt service due	523	563	503	568	488	426	418	422	401	398	394
Gross official reserves	508	502	561	616	730	801	880	965	1,054	1,151	1,258
Export of goods and nonfactor services	1,682	2,031	2,080	2,328	2,633	2,931	3,258	3,599	3,976	4,370	4,811
Ghana's gross financing need (-)	-649	-829	-839	...	...	...	...	...	...	...	...

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ Excluding SDR charges.

Table 8. Ghana: External Public Debt and Debt-Service Payments, 1996-2007

	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
(In millions of U.S. dollars)												
Total public and publicly guaranteed debt 1/	5,829	5,679	5,943	6,205	6,371	6,612	6,823	6,976	7,115	7,274	7,436	7,604
Of which:												
Multilateral (including IMF)	3,690	3,543	3,639	3,908	4,193	4,479	4,721	4,894	5,043	5,194	5,338	5,472
Bilateral 1/	1,853	1,849	2,010	2,003	1,883	1,838	1,807	1,787	1,777	1,785	1,803	1,837
Other 1/	285	287	295	295	295	295	295	295	295	295	295	295
External public debt service												
Principal	469	396	425	389	440	345	294	287	292	271	268	263
Medium-term	134	156	193	195	251	200	91	78	62	49	35	16
Long-term	210	74	93	116	150	110	188	188	188	168	179	184
IMF repurchases	125	166	139	78	39	35	15	21	42	54	54	63
Interest	148	128	139	113	128	143	131	130	130	130	130	131
Medium-term	61	50	54	41	51	66	71	68	65	63	62	61
Long-term	73	68	76	69	74	74	57	59	62	64	66	67
IMF charges	14	11	9	3	3	3	3	3	3	3	3	2
Total												
Including IMF	617	523	563	503	568	488	426	418	422	401	398	394
Excluding IMF	477	347	416	422	526	450	407	393	377	344	341	329
(In percent)												
Memorandum items:												
External public debt-service ratio 2/												
Including IMF	35.7	31.6	28.1	24.5	24.7	18.7	14.6	12.9	11.8	10.2	9.2	8.2
Excluding IMF	27.6	21.0	20.8	20.5	22.9	17.3	14.0	12.2	10.6	8.7	7.9	6.9
Ratio of external public debt-service to GDP												
Including IMF	8.9	7.6	7.5	6.2	6.7	5.3	4.2	3.8	3.5	3.0	2.7	2.5
Excluding IMF	6.9	5.0	5.5	5.2	6.2	4.9	4.0	3.6	3.1	2.6	2.3	2.1
Ratio of external public debt to GDP	84.2	82.5	79.2	76.9	74.6	71.4	67.3	63.2	58.7	54.8	51.2	47.7
External public debt (NPV)/exports	202.6	209.3	197.6	191.2	174.4	164.0	149.4	136.4	125.3	115.7	109.5	101.6

Sources: Ghanaian authorities; and Fund staff estimates and projections.

1/ As a share of exports of goods and non factor services.

2/ In percent of GDP.

Table 9. Ghana: Medium-Term Outlook, 1997-2007

	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
(In percent of GDP)											
National accounts											
Gross national savings	15.4	19.4	20.8	22.2	23.0	23.9	24.8	25.8	26.6	27.4	28.2
Public	0.4	3.2	5.6	6.6	7.0	7.2	7.9	8.1	8.2	8.5	8.8
Private	15.0	16.2	15.3	15.6	16.0	16.7	17.0	17.7	18.4	18.9	19.3
Gross investment	24.1	22.9	23.7	24.7	25.4	26.2	27.1	28.1	28.8	29.5	30.2
Public	12.4	11.3	11.1	11.3	10.6	9.9	9.2	8.8	8.4	8.1	7.8
Private	11.7	11.6	12.6	13.4	14.8	16.3	17.9	19.3	20.4	21.4	22.4
Foreign savings	8.8	3.5	2.9	2.5	2.4	2.3	2.3	2.3	2.2	2.1	2.1
Total consumption	90.2	86.8	85.3	83.7	82.1	80.7	79.3	78.0	76.9	75.8	74.8
Public	12.4	10.3	10.5	10.5	10.4	10.3	10.2	10.1	10.0	9.9	9.8
Private	77.8	76.5	74.8	73.2	71.7	70.4	69.1	67.9	66.9	65.9	65.0
Fiscal indicators											
Total revenue	18.7	20.5	21.2	20.9	20.8	20.7	20.6	20.5	20.3	20.2	20.2
(excluding grants)	17.3	18.3	18.8	18.9	19.1	19.1	19.1	19.1	19.1	19.1	19.1
Current expenditure	16.2	17.3	15.7	14.3	13.8	13.5	12.7	12.4	12.1	11.7	11.3
Total expenditure and net lending	28.6	28.6	26.8	25.6	24.4	23.4	21.9	21.2	20.5	19.8	19.1
Overall balance (commitment basis)	-9.9	-8.1	-5.5	-4.7	-3.6	-2.7	-1.4	-0.8	-0.2	0.4	1.0
Domestic primary balance	3.2	3.6	3.5	3.6	3.7	3.9	4.0	4.2	4.2	4.4	4.6
Net foreign borrowing	4.6	3.1	2.5	1.9	2.1	1.6	0.9	0.8	0.7	0.7	0.6
Domestic financing	5.1	5.0	2.8	2.7	1.3	1.1	0.5	0.0	-0.5	-1.1	-1.7
Stock of domestic debt	17.4	19.3	20.1	20.3	19.4	18.5	17.2	15.4	13.4	11.0	8.3
(Annual percent change, unless otherwise specified)											
Production and prices											
Growth of real GDP	4.2	4.6	5.5	6.0	6.0	6.0	6.0	6.0	6.0	6.0	6.0
GDP deflator	19.5	17.6	8.6	7.4	5.9	4.8	4.8	4.8	4.6	4.5	4.5
End-of-period inflation	20.8	15.8	9.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0
Foreign trade (in U.S. dollar terms)											
Exports, f.o.b.	-5.2	22.8	2.7	12.8	13.8	12.0	11.5	10.7	10.8	10.1	10.3
Imports, f.o.b.	9.9	4.0	1.8	9.3	10.4	9.7	9.9	9.7	9.3	9.2	9.3
Change in terms of trade	-0.7	26.4	4.3	0.3	1.5	0.8	1.0	0.5	-0.1	-0.4	-0.4
Memorandum items:											
(In millions of U.S. dollars unless otherwise specified)											
Real GDP per capita 1/	371.8	377.3	386.5	397.8	409.4	421.3	433.5	446.2	459.2	472.5	486.3
Real consumption per capita 1/	335.2	347.2	351.9	355.1	358.8	362.4	366.3	370.1	374.1	378.4	382.6
Nominal GDP (in billions of cedis)	14,113	17,357	19,885	22,619	25,378	28,203	31,341	34,809	38,597	42,763	47,385
Imports of goods and non-factor services (in percent of GDP)	38.4	36.4	34.5	35.2	35.5	35.4	35.3	35.3	35.2	35.2	35.2

Sources: Ghanaian authorities, and Fund staff estimates and projections.

1/ At constant 1993 prices.

**Three-Year Arrangement under
the Enhanced Structural Adjustment Facility**

Attached hereto is a letter (the letter) with an annexed memorandum of economic and financial policies (the Memorandum) dated April 14, 1999 from the Minister of Finance of Ghana requesting from the International Monetary Fund as Trustee of the Enhanced Structural Adjustment Facility Trust (the Trustee) a three-year arrangement under the Enhanced Structural Adjustment Facility, and setting forth:

(a) the objectives and policies of the program that the authorities of Ghana intend to pursue during the three-year period of the arrangement;

(b) the objectives, policies and measures that the authorities of Ghana intend to pursue during the first year of the arrangement; and

(c) understandings of Ghana with the Trustee regarding reviews that will be made of progress in realizing the objectives of the program and of the policies and measures that the authorities of Ghana will pursue for the second and third years of the arrangement.

To support these objectives and policies the Trustee grants the requested three-year arrangement in accordance with the following provisions, and subject to the provisions applying to assistance under the Enhanced Structural Adjustment Facility Trust.

1. (a) For a period of three years from May 3, 1999, Ghana will have the right to obtain loan disbursements from the Trustee in a total amount equivalent to SDR 155 million, subject to the availability of resources in the Enhanced Structural Adjustment Facility Trust.

(b) Disbursements under this arrangement shall not exceed the equivalent of SDR 66.44 million until May 3, 2000 and the equivalent of SDR 110.72 until May 3, 2001.

(c) During the first year of the arrangement:

- (i) the first disbursement, in an amount equivalent to SDR 22.16 million, will be available on May 3, 1999, at the request of Ghana;
- (ii) the second disbursement, in an amount equivalent to SDR 22.14 million, will be available on October 30, 1999, at the request of Ghana and subject to paragraph 2 below; and
- (iii) the third disbursement, in an amount equivalent to SDR 22.14 million will be available on March 30, 2000, at the request of Ghana and subject to paragraph 2 below.

(d) The right of Ghana to request disbursements during the second and third years of this arrangement shall be subject to such phasing and conditions as shall be determined. The phasing of, and conditions for, disbursements during the second year of this arrangement shall be determined in the context of a review of Ghana's program with the Trustee, the timing of which shall be established at the first review contemplated in paragraph 2(d) of this arrangement.

2. Ghana will not request the second or third disbursement specified in paragraphs 1(c)(ii) and 1(c)(iii) above:

(a) If the Managing Director of the Trustee finds that, with respect to the second disbursement, the data as of June 30, 1999 and, with respect to the third disbursement, the data as of December 31, 1999 indicate that:

- (i) the floor on the Government domestic primary surplus, or
- (ii) the ceiling on the net domestic financing, or
- (iii) the ceiling on the reserve money, or
- (iv) the floor on the change in net foreign assets of the Bank of Ghana, or
- (v) the limit on the contracting or guaranteeing by the government or the Bank of Ghana of new nonconcessional external debt in maturities of one year up to and including fifteen years, or
- (vi) the limit on the outstanding stock of nonconcessional external loans with maturities of less than one year contracted or guaranteed by the government or the Bank of Ghana, referred to in paragraph 35 and specified in Table 1 of the Memorandum, was not observed; or

(b) if the Managing Director of the Trustee finds:

- (i) with respect to the second disbursement, that Ghana has not carried out its intentions with respect to the offer for sale of the Produce Buying Company by June 30, 1999, as specified in paragraph 21 and Table 2 of the Memorandum, or
- (ii) with respect to the second disbursement, that Ghana has not carried out its intentions with respect to the reconciliation of the trade data from ASYCUDA with the Customs, Excise and Preventive Services' manual tabulation by June 30, 1999 as specified in paragraph 33 and Table 2 of the Memorandum, or

- (iii) with respect to the second disbursement, that Ghana has not carried out its intentions with respect to the increase in the producer price to 60 percent of the f.o.b. cocoa price for the 1999/2000 crop year as specified in paragraph 21 and Table 2 of the Memorandum, or
- (iv) with respect to the third disbursement, that Ghana has not carried out its intentions with respect to the offer for sale of the Tema Oil Refinery, Ltd by December 31, 1999 as specified in paragraph 28 and Table 2 of the Memorandum, or
- (v) with respect to the third disbursement, that Ghana has not carried out its intentions with respect to the appointment of a sales advisor for the divestiture of Ghana Airways, Ghana Railways, and Electricity Company of Ghana by December 31, 1999 as specified in Table 2 of the Memorandum, or
- (vi) with respect to the third disbursement, that Ghana has not carried out its intentions with respect to the withdrawal by September 30, 1999 of banking licenses from banks that at that date do not meet capital adequacy requirements as specified in paragraph 23 and Table 2 of the Memorandum; or

(c) if Ghana:

- (i) has imposed or intensified restrictions on payments and transfers for current international transactions, or
- (ii) has introduced or modified multiple currency practices, or
- (iii) has concluded bilateral payments agreements that are inconsistent with Article VIII, or
- (iv) has imposed or intensified import restrictions for balance of payments reasons, or
- (v) has incurred any new external payments arrears by the public sector; or

(d) until the Trustee has determined that with regard to the second disbursement, the first review of Ghana's program scheduled for completion on November 30, 1999, and, with regard to the third disbursement the second program review referred to in paragraph 6 of the letter has been completed.

When Ghana is prevented from requesting disbursements under this arrangement because of this paragraph 2, such disbursements will be resumed only after consultation has taken place

between the Trustee and Ghana and understandings have been reached regarding the circumstances in which Ghana may request further disbursements.

3. In accordance with paragraph 4 of the letter, Ghana will provide the Trustee with such information as the Trustee requests in connection with the progress of Ghana in implementing the policies and reaching the objectives of the program supported by this arrangement.

4. During the period of this arrangement Ghana shall remain in close consultation with the Trustee. In accordance with paragraph 5 of the attached letter, Ghana will consult with the Trustee on the adoption of any measures that may be appropriate at the initiative of the Government or whenever the Managing Director of the Trustee requests such a consultation. Moreover, after the period of this arrangement and while Ghana has outstanding financial obligations to the Trustee arising from loan disbursements under this arrangement, Ghana will consult with the Trustee from time to time, at the initiative of the Government or whenever the Managing Director of the Trustee request consultation on Ghana's economic and financial policies. These consultations may include correspondence and visits of officials of the Trustee to Ghana or of representatives of Ghana to the Trustee.

April 14, 1999

Dear Mr. Camdessus:

1. The objectives of Ghana's program of economic and financial adjustment for the three-year period 1999-2001 are set out in the policy framework paper, dated April 14, 1999.
2. The attached memorandum of economic and financial policies, based on the policy framework paper referred to above, sets out the objectives and policies that the government of Ghana intends to pursue during 1999. In support of its 1999-2001 program of economic and financial adjustment, the government hereby requests a new three-year Enhanced Structural Adjustment Facility (ESAF) arrangement in an amount equivalent to SDR 155 million (42 percent of Ghana's quota under the Eleventh General Review of Quotas), to be disbursed in seven equal installments over the three-year commitment period.
3. The commitment period of the present three-year ESAF arrangement expires on June 29, 1999. Under the new rules approved by the Executive Board on November 20, 1998 amending the ESAF Instrument, this commitment period cannot be extended as it has already been extended by one year; furthermore, the remaining commitment period would not allow for the approval and disbursement of loans under a third annual arrangement. In view of the above, the government of Ghana requests that the period of the current extension be reduced to the time elapsed at the time of approval of the new three-year arrangement, to avoid any overlapping with the new arrangement.
4. The government of Ghana will provide the Fund with such information as the Fund requests in connection with the progress made in implementing the economic and financial policies and achieving the objectives of the program.
5. The government of Ghana believes that the policies and measures set out in the attached memorandum are adequate to achieve the objectives of its program; it will take any further measures that may become appropriate for this purpose. During the period of the three-year ESAF arrangement, the government will consult with the Managing Director on the adoption of any measures that could be appropriate, at the initiative of the Government or whenever the Managing Director requests such a consultation. Moreover, after the period of the three-year ESAF arrangement and while Ghana has outstanding financial obligations to the Fund arising from loans under the arrangement, the government will consult with the Fund from time to time, at the initiative of the government or whenever the Managing Director requests consultation on Ghana's economic and financial policies.

6. The government of Ghana will conduct with the Fund a review of the first annual program supported by the three-year ESAF arrangement, based on performance criteria for end-June 1999, not later than November 30, 1999. A second review will take place at the end of the program period.

7. The government of Ghana intends to make these understandings public and authorizes you to provide this letter and attached memorandum to all interested parties that so request. It also authorizes you to make available the documents related to this request, including this letter and attached memorandum, to any international organization providing aid to developing countries that might request it, solely for its own use.

8. The government is determined to fully implement the program and comply with the performance criteria. We hope that we can count on the continued support of the Fund.

Sincerely yours,

/s/

Kwame Peprah
Minister of Finance

Attachment

Mr. Michel Camdessus
Managing Director
International Monetary Fund
Washington, D.C. 20431
U.S.A.

Memorandum of Economic and Financial Policies of the Government of Ghana for 1999

I. INTRODUCTION

1. In January 1995, the President of Ghana presented to parliament "Ghana—Vision 2020 (The First Step: 1996–2000)," a coordinated program of economic and social development policies aimed at making Ghana a middle-income country within one generation.¹ The program calls for sustained economic growth to be achieved through an open and liberal market economy, supported by measures to foster private investment, human development, and basic infrastructure, and a supportive legal and administrative environment. Rural and urban development issues are also emphasized to help sustain a rise in the standard of living of the population. This memorandum of economic and financial policies provides an overview of Ghana's performance in 1998, and sets out the government's objectives for 1999–2001 and the program for 1999, including quantitative and structural benchmarks to guide policy implementation during the year.

2. In June 1995, a three-year Enhanced Structural Adjustment Facility (ESAF) arrangement was approved by the Fund in support of the government's program. This arrangement focused on reducing macroeconomic imbalances and redirecting government efforts away from activities that could be provided more efficiently by the private sector. Despite temporary setbacks, the program has broadly achieved its objectives. The inflation rate was brought down from 71 percent at end-1995 to 16 percent at end-1998. Real growth averaged 4.5 percent per year in the period 1996–98, and the domestic primary surplus increased from 1.5 percent of GDP in 1995 to 3.6 percent of GDP. On the structural front, the farmers' share of the f.o.b. export price of cocoa was increased, private buyers were allowed to purchase cocoa from farmers, access of the national petroleum company to central bank credit was eliminated, and steps were taken to deregulate petroleum product marketing. Moreover, 16 medium-sized public enterprises and 34 small public enterprises were privatized or liquidated in the context of the ESAF-supported program and the World Bank private sector adjustment credit (July 1995–February 1998).

3. The government recognizes that, irrespective of the progress achieved since 1995, Ghana cannot afford a lapse in its adjustment effort. Therefore, the government will act resolutely to consolidate macroeconomic stability and strengthen its structural reforms, particularly in the cocoa and banking sectors, which are critical for raising real GDP growth rates toward poverty-reducing levels.

¹Government of Ghana, "Ghana—Vision 2020 (The First Step: 1996–2000): Presidential Report on Coordinated Program of Economic and Social Development Policies," January 1995.

II. PERFORMANCE IN 1998

4. In 1998, real GDP grew by 4.6 percent, or by about 1 percentage point less than originally projected, as a result of the drought-related energy crisis early in the year. The inflation rate fell to 16 percent at end-1998 from 21 percent at end-1997. Most quantitative benchmarks for December 1998 were observed, except for those in the fiscal area. Total revenue was below its targeted level as taxpayers waited for the reintroduction of the value-added tax (VAT) before rebuilding their stocks. The domestic primary surplus fell short of its floor but still increased to 3.6 percent of GDP from 3.2 percent in 1997. Net domestic financing of the government exceeded its program benchmark, mainly because of higher-than-expected interest payments and road arrears payments. Deviations from fiscal targets did not cause reserve money and broad money to exceed their original targets, and net foreign assets of the Bank of Ghana comfortably exceeded their target level, helped by strong cocoa exports. The external current account deficit (including grants) fell by about 5 percentage points of GDP, narrowing the deficit to 3½ percent of GDP. The cedi depreciated by 4.3 percent against the U.S. dollar during 1998, an appreciation of 4.1 percent in real effective terms.

III. OBJECTIVES AND POLICIES FOR 1999–2001

5. **Objectives.** The government's overall objective is to consolidate the gains achieved so far in stabilizing the macroeconomic environment, and to accelerate structural reforms. During the next three years, real GDP growth rate is projected at 5.5 percent in 1999 and at least 6 percent in 2000–01. The program aims at reducing the inflation rate to 9 percent in 1999 (end of period) and to not more than 5 percent in the following two years; and limiting the external current account deficit, including grants, to 2.9 percent of GDP in 1999 and 2½ percent in 2000/01. Meanwhile, the government will endeavor to increase net foreign assets of the central bank during 1999–2001 so as to attain gross official reserves of at least three months of imports by 2001.

6. **Financial policies.** The central objective of the government's medium-term **fiscal policy** is to move toward a balanced overall budget, achieving primary surpluses to reduce the interest burden. The government aims at maintaining the domestic primary surplus above 3½ percent of GDP while ensuring that the stock of domestic debt begins to decline by 2001. These fiscal objectives are expected to be achieved by increasing the total revenue-to-GDP ratio to about 19 percent by broadening the tax base and improving tax administration—notwithstanding the planned reduction of cocoa taxation and tariff reform—and by restraining the growth of expenditures. However, expenditures in health and education will be protected. **Monetary policy** will aim at reducing inflation to not more than 5 percent in 2001 by limiting monetary expansion to that consistent with nominal GDP growth.

7. **Structural reforms.** During 1999–2001, the government will accelerate the implementation of structural reforms so as to encourage private savings and investment, and

to foster efficient resource allocation. It will transfer the purchase of the **cocoa** crop to private licensed marketing agents, while allowing them to begin exporting a significant share of the crop. The government will also increase farmers' income by reducing the taxation of cocoa and the Cocobod's (cocoa marketing board) share. To improve the allocation of financial savings, the government will foster the development of a sound and competitive **banking system**. It will take steps to complete the divestiture of its shares in financial institutions other than the Agricultural Development Bank.² Banks that by end-September 1999 fail to meet the capital adequacy requirements of the Banking Law of 1989 will have their banking licenses withdrawn. Also, the government will be vigorously implementing a **divestiture program**, which will cover about 80 state-owned enterprises during the first two years of the ESAF arrangement. In so doing, it will enhance the transparency of the divestiture program through timely publication of audited financial statements of the Divestiture Implementation Committee. The government will continue to implement **public sector reforms** aimed at refocusing its priorities on core areas, in particular **agriculture**, the **social sectors**, and **basic infrastructure**. Finally, actions to overhaul the **energy sector** will remain crucial, was highlighted by the early 1998 crisis.

IV. PROGRAM FOR 1999

A. Financial Policies

8. **Fiscal policy.** The overall deficit in the 1999 budget, on a commitment basis, is projected at 5½ percent of GDP, a 2½ percentage point decline from 1998. The domestic primary balance is expected to show a surplus of at least 3½ percent of GDP in 1999. Revenue is projected to rise to almost 19 percent of GDP, driven by the curtailment of tax exemptions and improvements in administration, including the introduction of the VAT and the taxpayer identification system. Noninterest recurrent spending and domestically financed capital expenditure will be maintained broadly constant as a share of GDP, with spending on education and health increasing as a share of both total expenditure and GDP under the program. The net domestic financing of the budget will be limited to 2.8 percent of GDP in 1999, but it will be reduced to below 1½ percent of GDP in 2001 to help lower interest rates and avoid a crowding out of the private sector.

9. **Domestic arrears.** Road arrears amounting to C130 billion were outstanding at the end of 1998, owing to contracts that allowed road construction to be carried out even in the absence of full budgetary allocation. To resolve this situation, the government has decided to terminate a number of contracts, to scale down domestically financed road projects, and to

²The government sees the ADB as primarily a development bank, which serves, inter alia, as a conduit for foreign assistance to the agricultural sector. Its commercial bank activities, which have been profitable, are seen as a way to defray part of the costs of its development operations.

revise procedures for initiating projects and awarding new road contracts in line with World Bank procurement procedures. Outstanding road arrears will be reduced by C60 billion in 1999 and will be eliminated by end-2000.

10. **Tax measures.** The VAT was successfully reintroduced in December 1998 as a first step in the government's strategy to increase the tax base and the efficiency and equity of the tax system. Other elements of this strategy include reductions in the cocoa export tax, implementation of a tariff structure that supports efficient production and competitiveness, significant reductions in tax and tariff exemptions, and steps to improve tax administration through closer collaboration among tax agencies.

11. **Tariff reforms.** The government will continue to review the tariff structure, with a view to enhancing the external competitiveness of local industry, harmonizing tariff rates with regional practices, and removing distortions. To prevent smuggling, the government will reduce the top tariff rate to the target set by the West African Economic and Monetary Union (20 percent) in the context of the 2000 budget. While taking steps to curtail exemptions, the government will gradually reduce the average tariff rate over the next three years to less than 10 percent. The special tax of 17.5 percent on certain imported goods was abolished in March 1999.

12. **Monetary policy.** The main goal of monetary policy in 1999 will be to reduce inflation to not more than 9 percent by the end of the year. Consistent with this objective and the expectation that real GDP will grow by 5½ percent, the Bank of Ghana will aim at limiting monetary growth to 14½ percent. The monetary growth target will be achieved by limiting reserve money growth to 11½ percent through the use of indirect monetary policy instruments, including repurchase agreements. The Bank of Ghana expects that price trends and the performance of the economy will allow interest rates to continue to fall during the year, but it will adjust its policies as needed to meet its monetary targets. Bank financing of the budget is projected to expand by no more than C210 billion, or the equivalent of about 1 percent of GDP, which would allow credit to the private sector to grow by 17½ percent in 1999, broadly in line with the growth of nominal GDP.

13. The exchange rate will continue to be determined by market forces. The Bank of Ghana's expectation is that the exchange rate will move in tandem with price trends in Ghana and in partner countries. Nevertheless, the Bank of Ghana's intervention policy will be directed at meeting the program target for net foreign assets of the central bank while smoothing short-term fluctuations. For 1999, the Bank of Ghana has targeted an accumulation of net foreign assets of US\$77 million, which is expected to raise its gross international reserves to about 2.7 months of imports.

14. The Bank of Ghana will keep domestic and foreign exchange market developments under close review and will adjust policies as needed. It will continue to take steps to deepen

its domestic and foreign exchange markets and has requested Fund assistance in this area. In this context, it will also assess the scope for future modification of the surrender requirements.

15. **Balance of payments prospects.** Ghana's external situation remains vulnerable. Exports in 1999 are forecast to expand only marginally, owing to an expected decline in the size of the cocoa crop and world price. Moreover, gold prices are expected to decline in 1999. Imports are also forecast to show modest growth, about 2 percent in value terms. However, given the expected decline in import prices (in particular oil prices) the volume of imports will still exceed growth in real GDP. The current account deficit, including grants, is expected to narrow from 3.5 percent of GDP in 1998 to 2.9 percent of GDP in 1999.

16. **Debt sustainability analysis.** The external debt-service ratio, which had increased to about 32 percent of exports of goods and nonfactor services in 1997, because of the impact of earlier nonconcessional borrowing, declined to about 28 percent in 1998, a trend that is expected to continue. Under present assumptions, Ghana's debt-service ratio would fall further to about 15 percent in 2002, underpinning Ghana's ability to service the debt, including obligations to the Fund. Ghana's external debt, albeit largely concessional, is large, with the ratio of external debt stock to exports of goods and nonfactor services ratio at about 300 percent—or 200 percent on a net present value basis—as at end-1998. Cognizant of the vulnerability of the external sector, the authorities will implement policies oriented toward keeping debt at sustainable levels. Indeed, under present policies the level of debt in relation to exports is expected to fall to about 250 percent—or 165 percent on a net present value basis—by 2001. The government will neither contract nor guarantee nonconcessional external loans.

17. **External financing requirements.** External financing requirements are projected to total about US\$2.5 billion over the 1999–2001 period. The external financing requirement for 1999 of US\$874 million is expected to be fully financed. Financing for the following two years will be firmed up in a Consultative Group meeting expected to take place in late 1999. With adherence to the financial policies envisaged in the program, Ghana should not have difficulty in meeting its external debt-service obligations, including those to the Fund, provided it is not confronted with major external shocks.

B. Structural Reforms

18. The government realizes that creating a low-inflation environment will not by itself provide a sufficient basis for sustained and durable growth, and that structural reforms need to be directed at encouraging private sector initiative and improving resource allocation. It is therefore moving ahead with its plan to deregulate the energy and cocoa sectors, to further divest interests in the manufacturing, services, and financial sectors, and to promote private participation in infrastructure.

19. **Agriculture.** Without agricultural development, the objective of achieving sustained growth rates and reducing poverty will be unattainable. To strengthen its agricultural policies, the government is preparing the Agricultural Services Sector Investment Program (AGSSIP), an integrated program of expenditures to be financed by the government and a consortium of donors committed to pooling their resources for this purpose.

20. **Cocoa.** Within agriculture, the cocoa sector is paramount, and reforms are needed to ensure that Ghana remains a leading producer of cocoa in the next decade. In September 1998, a task force was established with wide representation from stakeholders; its report was issued in December 1998, and a workshop was conducted in January 1999. As a result of this broad-ranging consultation process, a medium-term strategy has been drafted and submitted for cabinet approval.

21. Key elements of the government's **medium term strategy for cocoa** include: unifying the extension services of Cocobod and those of the Ministry of Agriculture; increasing competition in internal marketing by giving licensed buying companies (LBCs) equal access to Cocobod's warehouses and crop financing; allowing qualified LBCs to export at least 30 percent of their domestic purchases, starting with the 2000/2001 crop; maintaining quality-control services in a public sector institution; eliminating price discounts on exportable cocoa to domestic processors in the 1999/2000 crop season; increasing the producer price to 60 percent of the f.o.b. price of cocoa for the 1999/2000 crop, and thereafter by at least 2 percentage points in each of the next two years; reducing the share of the Cocobod and the tax on cocoa to allow for increases in the farmers' share of the f.o.b. price; and outsourcing the Produce Buying Company for divestiture before end-March 1999 and offering it for sale before end-June 1999. Once the LBCs begin exporting cocoa, the Bank of Ghana will review surrender requirements.

22. The government believes that the above cocoa strategy will best serve the interests of the country during the next three years, but it will be prepared to take bolder steps, as needed, in the light of its experience and that of its competitors; it will assess the progress in the first phase of reforms with a view to moving toward a fully competitive system with open entry.

23. **Banking restructuring.** The government believes that a sound and competitive banking system would greatly help to improve the allocation of resources in the economy. Since the mid-1980s, the government has taken a number of steps to clean up the existing portfolio of nonperforming loans, to divest its shares in banks, and to find strategic investors willing to manage or take over weaker banks. In this context, the government will streamline regulations on entry and exit in the industry. It will lift the freeze on applications for banking licenses and will so notify the public before end-March 1999. It will withdraw by end-September 1999 the license of any bank that at that date, fails to meet capital adequacy requirements of the Banking Law of 1989; in doing so, it will ensure that depositors are protected and that debts are collected. By March 1999, the Bank of Ghana will establish

monitorable quarterly targets for banks failing to meet capital adequacy requirements. These banks will be asked to invest any additional deposits in government securities.

24. Both the government and the Bank of Ghana will take steps to divest their shares in the banking industry. By September 1999, the government expects to complete the sale of at least 30 percent of the shares of the National Investment Bank to a strategic partner. Similarly, at least 40 percent of the shares in the Ghana Commercial Bank will be divested by December 1999. The Bank of Ghana will also sell all its shares in commercial banks, except those in the Agricultural Development Bank (ADB), by December 1999.

25. Before end-1999, the government will place before parliament a new Bank of Ghana bill that will ensure the independence of the central bank in formulating monetary policy and supervising the financial system, while making it more transparent and accountable. A new banking law will also be submitted to modernize regulatory practices. Banking supervision will be strengthened. A new foreign exposure regulation was introduced in December 1998 and will become effective in mid-1999. The Bank of Ghana is encouraging the creation before December 1999 of an "apex institution" that will provide services to rural banks. The Bank of Ghana will, however, retain final regulatory authority over these banks and, as demonstrated by its closure of 23 rural banks in late-1998, will not hesitate to withdraw the licenses of problem banks.

26. **Divestiture program.** The government aims to create an environment in which private investment increases over the medium term, helped by a vigorous and transparent divestiture program. The government has prepared a divestiture work program for 1999–2000 covering about 80 companies. The government projects divestiture receipts of C100 billion in 1999, and C100 billion and C50 billion in 2000 and 2001, respectively. The government will seek to attract more investor interest by using experienced sales advisors and by improving the disclosure of information on the program. In that context, the government will reduce the publication lag of the annual audited financial reports of the Divestiture Implementation Committee (DIC) and will, following its completion, disseminate a detailed impact assessment of the divestiture program.

27. **Public sector reforms** will be carried out to refocus the government's efforts on core areas, particularly the social sectors and basic infrastructure. The government has begun to implement the public service reform program adopted by the cabinet and discussed at a conference of all stakeholders in 1998. This reform program is expected to be carried out in stages over the next decade. A pilot project for the reform of subvented agencies will commercialize, restructure, or close down at least 17 of them by the end of 2001. Legislation to support the commercialization or closure of agencies will be presented to parliament this year. The government also plans to reform the central management agencies over the 1999–2001 period, putting a coherent and transparent regulatory environment in place and streamlining functions. It is negotiating with the social partners a comprehensive long-term wage policy, aimed at reforming the pay structure based on a detailed job evaluation of the

entire public sector. The Central Management Board (CMB) appointed to implement the program has regraded current public service jobs according to the categories of the new remuneration system. The government intends to conclude the ongoing negotiations on the implementation of the new salary structure as soon as possible.

28. **Energy.** Reforms in this sector will remain important, as highlighted by the early 1998 crisis. The government is expected to complete the regulatory framework for the sector, including the Rules of Practice for the Operation of the National Grid, by end-1999. State-owned utilities will be made into separate corporate entities for the generation, transmission, and distribution of hydroelectric and thermal power. In anticipation of this, the government has already initiated the transformation of Volta River Authority (VRA) into four entities and is in an advanced stage of divesting its thermal generation plant. The Electricity Company of Ghana (ECG) is being restructured and will be offered for sale by end-1999. Both utilities are also implementing financial recovery plans approved by the government to deal with past liabilities and to ensure their future viability. To guide the growing number of participants in the industry, including regulators and private operators, the Ministry of Mines and Energy is preparing a Statement of Sector Development Policy, to be discussed with stakeholders in 1999. The statement will outline the remaining reform agenda. The financial restructuring of the Tema Oil Refinery (TOR) will be completed by June 1999, enabling the government to offer it for sale before end-December. The West Africa Gas Pipeline is under consideration by government in partnership with the private sector to address Ghana's long-term energy needs; feasibility studies of the pipeline are expected to be completed by mid-1999.

29. **Education.** As indicated in the "Ghana—Vision 2020" document, the government's priorities in education are to achieve universal basic education and adult literacy, increase access to secondary and tertiary education, and improve technical and vocational training. In line with these objectives, the government launched in 1996 a Basic Education Sector Improvement Program with the assistance of the World Bank. Implementation of the program is, however, experiencing difficulties as teaching and learning achievements are not improving. Measures are being taken to shore up the program. To monitor progress on the quality of basic education, the government is targeting significant improvements in pupils' achievements in the recently introduced Performance Monitoring Test, Criterion Reference Tests, and Basic Education Certificate Examination. Gross enrollment ratios for 2001 have been targeted at 81.2 percent for primary schools and 64.9 percent for junior secondary schools. Education expenditures are projected to rise from 3.8 percent of GDP in 1998 to 4.1 percent of GDP in 2001.

30. **Health.** The government's health sector reform program, which is based on implementation of the Medium-Term Health Strategy Toward Vision 2020, aims at providing universal access to basic health services, improving the quality and the efficiency of health services, and fostering linkages with other sectors contributing to health. The government has adopted a sector-wide approach to coordinate donors' efforts in the sector, including joint

systems to monitor sector performance. Main strategies to achieve sector objectives include (a) strengthening primary health services; (b) improving the capacity for policy development and analysis, resource allocation, performance monitoring and evaluation, and regulation of services delivery and health professionals; (c) strengthening national support systems for human resources, logistics and supplies, financial management, and health information; and (d) promoting private sector involvement in the delivery of health services. A hospital development policy will be prepared in 1999.

31. The impact targets of the health sector program for end-2001 are (a) increase life expectancy from 58 years in 1997 to 60 years; (b) reduce the infant mortality rate from 66 to 50 per 1,000 live births; (c) reduce the under-5 years old mortality rate from 132 to 100 per 1,000 live births; (d) lower the maternal mortality rate from 214 to 100 per 100,000 live births; (e) bring down the total fertility rate from 5.5 to 5.0 births; and (f) reduce the proportion of children with severe malnutrition from 12 percent to 8 percent.

32. **Poverty.** In collaboration with donors, the government is preparing a national poverty-reduction program for the period 1999–2001. In this context, poverty monitoring will be given high priority, including such poverty assessments as the Core Welfare Indicators Questionnaire (CWIQ) of 1997 and the fourth Ghana Living Standards Survey, which is to be completed in June 1999.

33. **Statistical issues.** The government continues to attach high priority to improving its statistics base. It intends to conduct a housing and population census in 2000 and will publish the results of the fourth Ghana Living Standards Survey by the third quarter of 1999. The Ghana Statistical Service will continue its review of the methodology used to compile national accounts; it will publish updated national accounts (sources and uses) with a lag of at most six months. The government will assess and explain before June 1999 the discrepancy between the trade data obtained from the Automated System for Customs Data (ASYCUDA) and from the Customs, Excise, and Preventive Services; it will ensure that national accounts and balance of payments data reflect the conclusions of that assessment. Finally, the government will reduce lags in reporting consumer prices and monetary accounts to not more than one month and budget execution data to six weeks.

V. PROGRAM MONITORING

34. **Prior Actions.** The government will take prior actions in a number of key areas of reform to underscore the government's commitment to the strategy described in this memorandum. In particular, the government will obtain cabinet approval before April 1999 of a medium-term cocoa strategy in line with the main elements described in paragraph 21 of this memorandum. It will ensure equal access to Cocobod's crop financing and warehousing facilities for all licensed buying companies. The government will also define clear targets for

its divestiture program and rescind the freeze on the licensing of new banks before end-March 1999.

35. **Performance criteria.** Performance through end-1999 will be monitored on the basis of the following quantitative performance criteria (for end-June 99 and end-December 1999) and benchmarks (for end-March 1999 and end-September 1999): (a) domestic primary balance of the government budget; (b) government revenue;³ (c) net domestic financing of the government budget; (d) reserve money; (e) net foreign assets of the Bank of Ghana; (f) new nonconcessional external borrowing; and (g) the stock of external short-term debt (Table 1). The nonaccumulation of new external payments arrears will also constitute a performance criterion, applying on a continuous basis. Structural performance criteria and benchmarks are shown in Table 2.

36. **Current account restrictions.** During the period of the three-year ESAF arrangement, the government will not introduce new or intensify existing exchange restrictions, nor introduce or modify any multiple currency practice, or introduce import restrictions for balance of payments reasons.

37. **Provision of information.** In order to ensure effective monitoring of the program, the government will make available to Fund staff all core data on a timely basis. In particular, the Bank of Ghana will compile and provide to the Fund staff with no more than one-week lag a set of indicators of financial policies. This set will include at a minimum data on market and bureau exchange rates, reserve money, net foreign assets of the central bank, net placement of government securities (outside the central bank), and treasury bill and repurchase rates.

³Benchmark only.

Table 1. Ghana: Quantitative Performance Criteria and Benchmarks Under the Second Annual ESAP Arrangement, 1998 and Under the First Year of the New ESAP Arrangement, 1999
(Cumulative from beginning of calendar year to end of month indicated)

	1998		1999			
	December		March	June	September	December
	Benchmark	Actual	Benchmark	Performance criteria	Benchmark	Performance criteria
(In billions of cedis)						
Government domestic primary surplus (floor) 1/	667	631	113	249	416	703
Government revenue, excluding grants and divestiture proceeds (floor) 2/	3,236	3,177	732	1,603	2,606	3,738
Net domestic financing (ceiling) 3/ 4/ 5/	552	831 6/	275	436	448	556
Reserve money (ceiling) 7/ 8/	1,408	1,403	1,302	1,291	1,277	1,564
(In millions of U.S. dollars)						
Change in net foreign assets of the Bank of Ghana (floor) 4/	40	100	-10	-90	-48	77
New nonconcessional external loans contracted or guaranteed by the government or the Bank of Ghana (1-15 year maturity) (ceiling) 9/	0	0	0	0	0	0
Short-term external debt outstanding contracted or guaranteed by the government or the Bank of Ghana (with an initial maturity of less than one year) (ceiling) 10/	40	0	50	50	50	50
Memorandum item:						
Net change in government payments arrears (in billion of cedis)	-48	-104	-15	-30	-45	-60
Total program support (loans and grants) assumed 2/	...	...	34	105	185	197

1/ The domestic primary balance is defined as the difference between total revenue (excluding grants and divestiture proceeds) and noninterest domestic expenditure (excluding foreign-financed capital expenditure).

2/ Benchmark only.

3/ The ceiling will be adjusted upward/downward to the extent that the cumulative net reduction in government payments arrears is larger/smaller than programmed (see memorandum item).

4/ The ceiling on net domestic financing will be increased (reduced) by any shortfall (excess) in foreign program support for the budget (program loan and grants). Similarly, the floor on net foreign assets of the Bank of Ghana will be reduced (increased) by any shortfall (excess) in foreign program support for the budget (program loans and grants).

5/ The ceiling on net domestic financing will be adjusted upward by the amount of the treasury bills issued on account of the "bank restructuring operations," but not exceeding the equivalent of US\$50 million.

6/ Net of interest adjustment, which is not included in the definition of net domestic financing for the program, and after adjustment for larger-than-expected programmed reduction in payments arrears.

7/ Stock at end of month indicated.

8/ To be adjusted downward to the extent of any reduction in, or shortfall in compliance with, the legal reserve requirement (8 percent of bank deposits).

9/ External loans contracted or guaranteed other than those with grant elements equivalent to 35 percent or more, calculated using a discount rate based on OECD commercial interest reference rates.

10/ Excluding normal import-related credits.

Table 2. Ghana: Prior Actions, Structural Performance Criteria and Benchmarks

Action	Timing (End of month indicated)
Cocoa sector	
Announce that the Cocobod will ensure equal access to its crop financing and warehousing facilities for all LBCs. 1/	March
Obtain cabinet approval of the medium-term cocoa strategy, as described in paragraph 21 of this memorandum. 1/	April
Offer the Produce Buying Company (PBC) for sale. 2/	June
Increase the producer price to 60 percent of the f.o.b. cocoa price for the 1999/2000 crop year. 2/	June
Energy Sector	
Complete financial restructuring of the TOR	June
Offer the TOR for sale. 2/	December
Expenditure control and budget monitoring	
Establish amount of road sector arrears and reduce them by ₵30 billion in the first half of 1999.	June
Divestiture	
Provide to the Fund a divestiture work program, including annual targets for divestiture receipts for the period 1999-2001. 1/	March
Appoint sales advisor for the divestiture of Ghana Airways, Ghana Railways, and Electricity Company of Ghana. 2/	December
Divest Bank of Ghana shares in the National Investment Bank, Bank of Housing and Construction, Bank of Credit and Commerce Ghana Ltd, and the COOP.	December
Trade reform	
Reduce the top tariff rate to 20 percent	January 1, 2000
Complete comprehensive review of tariff regime.	September 1999
Financial sector reform	
Announce removal of the freeze on licensing of new banks. 1/	March
Establish monitorable quarterly targets for banks not meeting capital adequacy requirements. Additions to deposits to be fully invested in government securities.	March
Enforce revised regulations for foreign exchange exposure limits.	June
Withdraw banking licenses from banks that do not meet the capital adequacy requirements of the Banking Law of 1989 on September 30, 1999. 2/	September
Submit new draft central bank and banking laws to parliament. 2/	December
Public service reform	
Obtain cabinet approval of legal framework for the reform of subvented agencies	June
Statistical issues	
Reconcile trade data from ASYCUDA with CEPS's manual tabulation. 2/	June
Reduce lags in reporting the consumer price index and monetary results to one month, and budgetary results to six weeks.	June

1/ Prior actions.

2/ Performance criterion.

Ghana: Relations with the Fund
(As of February 28, 1999)

Membership Status: Joined: 9/20/57; Article VIII

General Resources Account	SDR Million	%Quota
Quota	369.00	100.0
Fund holdings of currency	327.87	88.9
Reserve position in Fund	41.13	11.1

SDR Department	SDR Million	%Allocation
Net cumulative allocation	62.98	100.0
Holdings	18.33	29.1

Outstanding Purchases and Loans	SDR Million	%Quota
ESAF arrangements	236.91	64.2

Financial Arrangements

Type	Approval Date	Expiration Date	Amount Approved (SDR million)	Amount Drawn (SDR million)
ESAF	06/30/95	06/29/99	164.40	137.00
ESAF	11/09/88	03/05/92	388.55	388.55
SAF	11/11/87	11/09/88	129.86	40.90

Projected Obligations to Fund¹ (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue 12/31/98	Forthcoming				
		1999	2000	2001	2002	2003
Principal	0.0	55.4	28.1	24.7	11.0	15.1
Charges/interest	<u>0.0</u>	<u>2.2</u>	<u>2.4</u>	<u>2.3</u>	<u>2.2</u>	<u>2.1</u>
Total	0.0	57.6	30.5	27.0	13.2	17.2

¹The projection of charges and interest assumes that overdue principal at the report date (if any) will remain outstanding, but that forthcoming obligations will be settled on time.

Exchange Rate Arrangement

Ghana maintains a flexible exchange rate system, using the U.S. dollar as the intervention currency. The exchange rate in the interbank market at end-February 1999 was C2,354.45 per U.S. dollar for buying and C2,384.91 per U.S. dollar for selling, while the average bureau buying rate was C2,420 per U.S. dollar and the average selling rate was C2,445 per U.S. dollar.

Ghana has liberalized the making of payments and transfers for current international transactions and, with effect from February 21, 1994, has accepted the obligations of Article VIII, Sections 2, 3, and 4.

Article IV Consultations

The 1998 Article IV consultation (EBS/98/193; 11/17/98) was concluded by the Executive Board on December 2, 1998. Ghana is on the standard 12-month cycle for Article IV consultations.

Technical Assistance, 1994-97

Statistics Department: Fund staff member seconded to the Bank of Ghana as financial statistics advisor during April 1991-April 1994. Money and banking statistics mission, July 1997.

Monetary and Exchange Affairs Department: Bank of Ghana and Ministry of Finance (instruments of monetary control), March 1994; Bank of Ghana (monetary policy and foreign exchange operations), March-April 1994; and Bank of Ghana (monetary policy design and institutions), November 1996, February 1997, August 1997, and April 1998. A resident expert in banking supervision was in place from December 1997 to December 1998.

Fiscal Affairs Department: Ministry of Finance (expenditure control), July 1996; Ministry of Finance (public expenditure management), June-July 1996; Ministry of Finance (value-added tax and customs), November 1996; and Ministry of Finance (public expenditure workshop), September-October 1997.

Bureau of Computing Services: Bank of Ghana (review of information technology), November 1996; Bank of Ghana (economic indicators database) May 1998.

Resident Representative

A Fund Resident Representative has been stationed in Accra since June 1985. Mr. Begashaw has been the Fund representative since September 1, 1998.

Ghana: Relations with the World Bank Group
(As of February 28, 1999)

1. The objective of the World Bank's Country Assistance Strategy for FY98-FY00 is to support the key elements of the government's development agenda, which seeks to improve the quality of life for all Ghanaians, generate employment and growth, and reduce poverty. The Bank's broad strategy objectives include: restoring macroeconomic stability, promoting private investment, supporting social and rural development, and implementing direct poverty alleviation measures.
2. As of December 31, 1998 total commitments to Ghana amounted to US\$1036.1 billion with total disbursements of US\$509 million. Over the three-year period covering FY98-FY00, the Bank's base case-lending program has a range of US\$430 to US\$650 million. Within this range, the Bank will follow a graduated response to changes in key indicators with respect to fiscal sustainability, portfolio performance, and structural reforms. In addition, the IFC's portfolio totals 24 projects, for total commitments of US\$62.2 million and outstanding disbursements of US\$58 million.
3. Recent and proposed Bank Group projects have broad sectoral coverage, including roads and other infrastructure, health, education, agriculture, environment, private sector development, and public sector management. These projects emphasize rehabilitation, maintenance, and institutional strengthening. More reliance is being put on supporting sector investment programs and nonlending services. The Bank is moving away from infrastructure investments in telecommunications, power, ports, rails, and large urban water systems, while providing greater nonlending support (enhanced by IFC and MIGA) to promote private participation in these sectors.
4. Since the formulation of Ghana's Economic Recovery Program in 1983, the Bank has provided a series of policy-based credits to help finance urgently needed imports and support structural reforms, including liberalization of the exchange rate, trading system, and prices; rationalization of capital and recurrent expenditures; privatization; and parastatal reform. In the early 1990s, several adjustment credits were approved—a second financial sector adjustment credit; an agriculture sector adjustment credit; and a private sector adjustment credit—in support of a further deepening of reforms and of the government's accelerated divestiture program. More recent investment credits have been used to finance education and health. In FY98, a one-tranche adjustment credit, the Economic Reform Support Operation, was also approved. In FY99 the Bank is seeking the approval of a second Economic Reform Support Operation adjustment credit.

Ghana: IBRD/IDA Operations 1/
(As of February 28, 1999)

	FY94	FY95	FY96	FY97	FY98	FY99
(In millions of U.S. dollars)						
Commitments, total	87.7	294.5	276.2	54.4	96.7	50.5
(In percent of total commitments)						
By sector (percent)						
Agriculture	26.2	3.1	0.0	56.3	0.0	0.0
Education	0.0	3.3	17.8	0.0	0.0	0.0
Electric power and energy	0.0	60.7	0.0	0.0	0.0	0.0
Environment	0.0	0.0	0.0	0.0	9.9	0.0
Finance	0.0	0.0	8.5	39.2	0.0	100.0
Mining	0.0	4.2	0.0	0.0	0.0	0.0
Multisector	0.0	24.2	3.0	4.5	53.0	0.0
Population, health, and nutrition	0.0	0.0	0.0	0.0	37.1	0.0
Public sector management	0.0	4.5	9.5	0.0	0.0	0.0
Transportation	0.0	0.0	35.8	0.0	0.0	0.0
Urban development	47.0	0.0	25.4	0.0	0.0	0.0
Water supply and sanitation	26.8	0.0	0.0	0.0	0.0	0.0
Total	100.0	100.0	100.0	100.0	100.0	100.0
By lending instrument (percent)						
Projects	100.0	75.8	97.0	95.5	47.0	100.0
Adjustment credits	0.0	24.2	3.0	4.5	53.0	0.0
(In millions of U.S. dollars)						
Disbursements	187.1	168.8	261.0	266.0	211.5	143.8
Project credits	112.0	143.8	195.3	219.6	185.8	92.1
Adjustment credits, total	75.1	25.0	65.7	46.6	25.8	51.7
Agricultural Sector Adjustment Credit	30.1	6.4	26.8	0.0	0.0	0.0
Economic Reform Support Operation	0.0	0.0	0.0	0.0	0.0	49.4
Education Sector Adjustment Credit I	5.8	14.7	0.0	0.0	0.0	0.0
Financial Sector Adjustment Credit	32.6	3.9	4.2	31.8	0.0	0.0
Private Sector Adjustment Credit	0.0	0.0	34.7	14.6	25.8	2.3
Private Investment Promotion Adjustment Credit	6.6	0.0	0.0	0.0	0.0	0.0

1/ Fiscal year ending June 30.

GHANA: EXTERNAL DEBT SUSTAINABILITY ANALYSIS

Introduction

1. Ghana is a heavily indebted poor country (HIPC). However, it has not resorted to concessional rescheduling from the Paris Club nor fully utilized traditional debt relief mechanisms. The previous debt sustainability analysis carried out in March 1998 and reported in EBS/98/46 (3/9/98) concluded that Ghana would not exceed required threshold levels after exhausting traditional debt-relief mechanisms. Since the beginning of the Economic Recovery Program (1983), Ghana has had only one rescheduling agreement, in April 1996, which was on nonconcessional terms and pertained to pre-1983 debts to Brazil, Italy, and Norway. Even without further use of rescheduling operations, the debt situation of Ghana was considered sustainable, provided that sound macroeconomic and debt-management policies were put in place and no major shocks occurred. The debt sustainability analysis carried out in this appendix reiterates this conclusion.¹

2. Compared with the March 1998 debt sustainability analysis, the present analysis shows a lower ratio of debt stock, both in nominal and in net present value terms, to exports for end-1998. This lower level is explained both by the evolution of the exchange rate between the U.S. dollar and other currencies in which part of the Ghanaian external debt is denominated, and by a more complete debt-reconciliation exercise, done in conjunction with the World Bank and the authorities, which eliminated duplication of reported loans. The strong export performance in 1998 also played a role in making the external debt burden more sustainable.

3. As in the previous analysis, the main conclusion is that, if Ghana is able to keep its structural adjustment program on track and avoid nonconcessional financing, it should have no serious problems in staying current on its debt service payments, except in case of major shocks. It should be emphasized, however, that Ghana's export performance is vulnerable to both weather and price shocks, and foreign assistance may decline faster than contemplated in the baseline scenario. Therefore, in order to guard against encountering difficulties under adverse conditions, Ghana needs to take a prudent approach to macroeconomic adjustment and external borrowing.

¹The present results are based on the same methodology as in EBS/98/46. The World Bank staff is in agreement with this analysis. A three-year moving average of export of goods and nonfactor services (excluding workers' remittances) is used as the denominator for the ratio of net present value of debt to exports, and a prorated net present value of debt disbursed and outstanding is calculated. Net present value was calculated using a discount rate based on the weighted average of currency specific commercial interest reference rates, with weights corresponding to the currency composition of Ghana's external debt. The aggregate debt data is based on information provided by the Ministry of Finance.

The level and composition of debt

4. At the end of 1998, the nominal value of Ghana's total external debt was almost US\$6 billion, equivalent to almost 80 percent of GDP. The ratio of net present value of debt to exports of goods and nonfactor services was 198 percent. About 61 percent of the debt was owed to multilateral creditors, including the IMF, and 21 per cent to official bilateral creditors (of which a little more than 90 per cent is owed to Paris Club creditors). About 95 percent of the debt to multilateral and official bilateral creditors was on concessional terms. About half of the debt service in 1998 was owed to multilaterals and official bilateral creditors. However a relatively large share of debt service in 1998 is for servicing commercial nonconcessional debt that was assumed earlier and the payments on these amounts account for a temporary bunching of relatively large amortization payments.

Main results and assumptions of the baseline scenario

5. In 1999, weaker cocoa prices and a smaller 1999 crop will slow the improvement in debt-service indicators. Nevertheless, the net present value of debt-to-export and debt service ratios are projected to decline to about 164 percent and under 19 percent, respectively, by 2001 (Appendix Table 10).

6. This profile of debt and debt-service ratios is predicated on certain assumptions. GDP growth is assumed to be 5.5 percent for 1999, and 6 percent in the outer years. As in the earlier debt sustainability analysis, the GDP growth trend assumes the continuance of sound financial policies and structural reforms, which will enhance savings and investment and increase the role of the private sector.

7. The baseline scenario also assumes that, as a result of the medium-term cocoa strategy, the volume of cocoa exports will rise above 500,000 metric tons by the year 2005 an increase of 30 percent from the volume of exports in 1998. Cocoa exports are projected to average about 700,000 metric tons over the 2007-11 period. These levels are in line with the production and export levels that are targeted in the government's cocoa strategy. The value of nontraditional exports are assumed to continue to grow strongly, at rates of about 20 percent in the initial years, a decline from the over 50 percent growth seen in 1998. In later years, these high growth rates are expected to gradually slow down. Given the softness in the gold market and environmental considerations, it is assumed that the volume of gold and timber exports will grow more modestly, on average by 6 percent a year, and 5 percent a year, respectively, in 1998-2003 and slow down to 4 percent and 2 percent, respectively, in later years. The volume of oil and non-oil imports are projected to grow in line with real GDP growth; and gross international reserve levels are targeted to stay at 3 months of imports. Under these assumptions, the current account, including official transfers would narrow to 2.2 percent in 2005 and improve a little thereafter to under 2 percent.

8. On financing, grants rise in 1999 to US\$235 million, but then decline to about US\$175 million by 2003 and remain at that level in the subsequent period. Concessional

lending from multilateral and other organizations is assumed to decline modestly in the immediate years from about US\$578 million in 1999 to about US\$475 million in 2001, and then to about US\$430 million in the outer years.

9. The implication of this set of assumptions is that aid flows as a share of GDP, which dropped from 13 percent to 10 percent of GDP in 1998, will hold steady at 10 percent in 1999 and decline by a percentage point in both 2000 and 2001, reaching 8 percent in the latter years. Subsequently, aid is assumed to continue to decline slowly in each year, such that aid flows as a share of GDP falls to about 3 percent of GDP in the outer years, by 2010, and to about 2 percent of GDP beyond 2010. Direct investment and other private flows are assumed to offset this steady decline in concessional loans.

Sensitivity analysis

10. Some alternative scenarios were examined in order to assess the sensitivity of Ghana's debt indicators to various shocks. (Appendix Table 12). Scenario 2 assumes that the program grants and loans in the baseline scenario would not be forthcoming and that this amount would have to be made up by nonconcessional financing at the London interbank offered rate (LIBOR) plus 3 percentage points. The results show that by 2005 the net percent value of debt will be equivalent to 124 percent of exports, 8 percentage points higher than in the baseline scenario, and the debt-service ratio 5½ percentage points higher. Nevertheless, both the net present value of debt-to-exports ratio and the debt-service ratio will be below the threshold levels of 200 percent and 20 percent, respectively.

11. Scenario 3 assumes that, in addition to the hypothesis in scenario 2, cocoa production and exports grow at rates of only 5 percent a year, with cocoa exports being lower by 5 percent and 10 percent by 2005 and 2010, respectively. Such a shock would further worsen the debt situation and the net percent value of debt. Indeed, by 2005, the net percent value of debt in relation to exports would be about 18 percentage points higher than in the baseline. The debt-service ratio would also be higher and, if the shock persisted (as is assumed), the ratio would only fall below 20 percent in 2002.

12. Scenario 4 assumes that prices for the metric ton of cocoa would also be 10 per cent lower throughout the period. The debt situation worsens further and the net percent value of debt in relation to exports is higher relative to the base case by over 25 percentage points by 2005 and the debt service ratio does not fall below 20 per cent even by 2007.

Conclusions

13. The results illustrate that despite the vulnerability of Ghana's balance of payments, the external debt is likely to be sustainable under sound policies. However, it is clear that additional nonconcessional borrowing in the early years would weaken the external situation

over the medium term and increase the likelihood that shortfalls in cocoa exports and cocoa prices from the baseline scenario would make the debt situation vulnerable.

Table 1. Ghana: Long-Term Debt and Debt-Service Projections, 1997-2016

	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2007-11 Avg.	2012-16 Avg.
(In millions of U. S. dollars)													
Total debt stock	5,679	5,943	6,205	6,371	6,612	6,823	6,976	7,115	7,274	7,436	7,604	7,929	8,638
Net present value (NPV) 1/	3,466	3,550	3,640	3,695	3,805	3,890	3,977	4,056	4,146	4,323	4,421	4,537	4,924
Total debt service	523	563	503	568	488	426	418	422	401	398	394	402	457
Amortization	396	425	389	440	345	294	287	292	271	268	263	267	310
Of which													
Multilateral	275	280	221	224	183	143	148	160	151	177	174	177	207
Bilateral	81	101	117	147	111	105	101	102	94	75	73	76	86
Of which													
Paris Club	68	90	105	133	102	96	92	97	89	71	71	73	86
Interest payments	128	139	113	128	143	131	130	130	130	130	131	135	147
Of which													
Multilateral	56	59	48	55	68	65	64	71	73	78	78	85	108
Bilateral	67	73	61	69	73	65	66	59	57	52	53	50	39
Of which													
Paris Club	58	64	54	60	66	58	59	56	57	52	53	50	39
Memorandum items:													
Nominal GDP	6884.6	7500.8	8070.3	8543.9	9261.0	10137.0	11043.0	12129.0	13273.0	14524.0	15930.0	18494.4	27806.4
Exports of nonfactor goods & services	1655.7	2004.0	2052.4	2301.0	2605.5	2907.4	3231.8	3570.0	3944.7	4335.5	4773.0	5834.7	9249.4
(In percent of GDP)													
Total debt stock	82.5	79.2	76.9	74.6	71.4	67.3	63.2	58.7	54.8	51.2	47.7	43.3	31.4
Total debt stock (NPV)	50.3	47.3	45.1	43.2	41.1	38.4	36.0	33.4	31.2	29.8	27.8	24.8	17.9
Total debt service	7.6	7.5	6.2	6.7	5.3	4.2	3.8	3.5	3.0	2.7	2.5	2.2	1.7
(In percent of exports)													
Total debt stock	343.0	296.6	302.3	276.9	253.8	234.7	215.9	199.3	184.4	171.5	159.3	137.8	94.7
Total debt stock (NPV) 1/	209.3	197.6	191.2	174.4	164.0	149.4	136.4	125.3	115.7	109.5	101.6	86.6	59.0
Total debt service	31.6	28.1	24.5	24.7	18.7	14.6	12.9	11.8	10.2	9.2	8.2	7.0	5.0

Sources: Ghanaian authorities; World Bank; and Fund staff estimates and projections.

1/ On the basis of a discount factor of 6.0 percent, reflecting the commercial interest reference rates weighted by the currency composition of Ghana's external debt.

Table 2. Ghana: Balance of Payments, 1996-2016

	1996	1997	1998 Est.	1999	2000	2001	2002	2003	2004	2005	2006	2007	2007-11 Avg.	2012-16 Avg.
(In millions of U.S. dollars, unless otherwise specified)														
Exports, f.o.b.	1,573	1,491	1,830	1,880	2,119	2,412	2,700	3,010	3,332	3,691	4,065	4,483	5,500	8,763
Cocoa beans and cocoa products	552	470	629	589	669	773	877	978	1,087	1,188	1,293	1,407	1,673	2,320
Gold	612	580	688	722	779	846	894	963	1,012	1,084	1,161	1,244	1,434	2,023
Timber and timber products	147	172	170	188	218	243	264	287	312	332	351	370	413	540
Others	262	269	344	380	454	550	665	782	921	1,086	1,260	1,463	1,979	3,879
Imports, f.o.b.	-1,937	-2,128	-2,213	-2,253	-2,463	-2,719	-2,982	-3,276	-3,592	-3,925	-4,284	-4,682	-5,624	-8,753
Non-oil	-1,679	-1,894	-2,007	-2,065	-2,236	-2,468	-2,714	-2,988	-3,285	-3,593	-3,925	-4,293	-5,167	-8,078
Oil	-258	-234	-207	-189	-227	-251	-268	-288	-307	-332	-359	-389	-457	-675
Trade balance	-364	-638	-383	-374	-343	-307	-282	-266	-260	-234	-220	-198	-124	10
Services (net)	-446	-485	-487	-476	-497	-551	-597	-632	-673	-716	-763	-814	-933	-1,299
of which: interest payments	-155	-145	-151	-129	-133	-158	-159	-161	-166	-171	-176	-182	-196	-233
Private transfers (net)	276	360	378	380	418	439	461	470	479	489	499	509	530	585
Current account balance, excluding official transfers	-534	-763	-492	-470	-422	-419	-417	-428	-453	-461	-483	-504	-528	-705
Official transfers (net) 1/	206	160	230	235	197	160	180	175	175	175	175	175	175	170
Current account balance, including official transfers 2/	-328	-603	-261	-235	-225	-260	-238	-253	-278	-286	-309	-329	-353	-535
Capital account (medium and long term)	421	555	243	312	187	265	326	343	400	466	508	565	614	778
Official capital (net)	351	500	254	267	87	165	196	174	180	213	217	230	205	120
Long-term loans	233	257	194	274	265	260	227	194	190	205	199	196	167	114
Inflows	287	291	240	332	335	330	350	315	305	305	305	305	305	305
Amortization	-54	-34	-47	-58	-70	-70	-123	-121	-115	-100	-107	-109	-138	-191
Medium-term loans	118	243	60	-7	-178	-95	-31	-20	-10	8	18	34	37	6
Inflows	274	439	300	246	153	145	125	125	125	125	125	125	125	125
Amortization	-156	-196	-240	-253	-331	-240	-156	-145	-135	-117	-107	-91	-88	-119
Private capital	70	55	-11	45	100	100	130	169	220	253	291	335	409	659
Other capital and errors and omissions	-107	73	118	0	0	0	-33	10	5	-37	-48	-67	-98	-44
of which: change in NFA of comm. banks	-55	8	84	20	0	0	0	0	0	0	0	0	0	0
Overall balance	-14	25	100	77	-38	5	56	100	127	143	151	169	169	200
Change in arrears	-100	0	0	0	0	0	0	0	0	0	0	--	0	0
Financing	114	-25	-100	-77	-34	-88	-56	-100	-127	-143	-151	-169	-169	-200
Debt deferral	100	0	0	0	0	0	0	0	0	0	0	0	0	0
Net foreign assets	14	-25	-100	-77	-34	-88	-56	-100	-127	-143	-151	-169	-169	-200
Net international reserves	14	-25	-100	-77	-34	-88	-56	-100	-127	-143	-151	-169	-169	-200
Use of Fund credit	-86	-166	-28	-17	21	26	15	-21	-42	-54	-54	-63	-41	0
Purchase (GRA)	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Repurchase (GRA)	-25	-47	-33	0	0	0	0	0	0	0	0	0	0	0
Disbursements (SAF/ESAF)	40	0	111	61	60	60	30	0	0	0	0	0	0	0
Repayments (SAF/ESAF)	-101	-118	-105	-78	-39	-35	-15	-21	-42	-54	-54	-63	-41	0
Other reserves (increase -)	100	141	-72	-59	-55	-114	-71	-79	-85	-90	-97	-107	-128	-200
Bilateral payment agreements	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Financing gap 3/	0	0	0	0	72	83	0	0	0	0	0	0	0	0
Memorandum items:														
Current account deficit (in percent of GDP)														
Excluding official transfers	7.7	11.1	6.6	5.8	4.9	4.5	4.1	3.9	3.7	3.5	3.3	3.2	2.9	2.5
Including official transfers 4/	4.7	8.8	3.5	2.9	2.5	2.4	2.3	2.3	2.3	2.2	2.1	2.1	1.9	1.9
Gross international reserves														
End of period (millions of U.S. dollars)	591	508	502	561	616	730	801	880	965	1054	1151	1258	1511	2352
In months of imports (c.i.f.)	4.4	2.6	2.5	2.7	2.8	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
Cocoa exports														
Volume (in thousands of tons)	394	315	382	360	396	434	467	494	523	558	595	635	725	913
Price (in U.S. dollars per ton)	1,374	1,473	1,660	1,600	1,650	1,750	1,850	1,950	2,050	2,101	2,143	2,214	2,303	2,538

Sources: Bank of Ghana; and Fund staff estimates and projections.

1/ For the program period 1999-2001, includes only fully identified program grants.

2/ The current account figure does not assume full financing of the program as shown in Table 1.

3/ Financing gap for the program period 1999-2001 is defined as difference between assumed and fully committed /identified program support.

4/ For 2000 and 2001 assumes that the financing gap is filled.

Table 3. Ghana : Debt and Debt Service Projections -- A Sensitivity Analysis

	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2007-2011 Avg.	2011-2017 Avg.
(In percent, unless otherwise indicated)													
Baseline scenario													
Current account (including official transfers; in percent of GDP)	8.8	3.5	2.9	2.5	2.4	2.3	2.3	2.3	2.2	2.1	2.1	1.9	1.9
NPV of debt-to-exports ratio	209.3	197.6	191.2	174.4	164.0	149.4	136.4	125.3	115.7	109.5	101.6	86.6	59.0
Debt-service ratio	31.6	28.1	24.5	24.7	18.7	14.6	12.9	11.8	10.2	9.2	8.2	7.0	5.0
Scenario 2. 1/													
Current account (including official transfers; in percent of GDP)	8.8	3.5	2.9	2.9	2.8	2.7	2.7	2.7	2.6	2.6	2.6	2.4	2.2
NPV of debt-to-exports ratio	209.3	197.6	191.2	178.5	171.7	159.1	145.8	134.1	123.8	116.4	106.9	89.1	57.3
Debt-service ratio	31.6	28.1	24.5	24.7	19.7	17.6	17.2	16.8	15.8	15.4	14.9	13.6	11.2
Scenario 3. 2/													
Current account (including official transfers; in percent of GDP)	8.8	3.5	2.9	3.3	3.5	3.7	3.7	3.9	3.9	4.0	4.1	4.2	3.8
NPV of debt-to-exports ratio	209.3	197.6	191.2	179.3	174.8	165.1	153.8	143.2	133.4	126.7	117.5	99.8	64.9
Debt-service ratio	31.6	28.1	24.5	25.0	20.2	18.5	18.5	18.5	17.9	18.0	17.9	17.3	16.2
Scenario 4. 3/													
Current account (including official transfers; in percent of GDP)	8.8	3.5	2.9	4.0	4.3	4.5	4.6	4.7	4.7	4.8	4.9	5.0	4.6
NPV of debt-to-exports ratio	209.3	197.6	191.2	181.1	179.9	172.5	161.7	151.0	141.0	133.9	124.0	112.0	102.5
Debt-service ratio	31.6	24.5	25.7	20.8	19.5	19.9	20.3	19.9	20.1	20.2	20.3	19.6	19.3

1/ Relative increase in nonconcessional financing.

2/ Nonconcessional financing, in scenario 2 and lower exports of cocoa.

3/ Lower cocoa prices, in addition to the two shocks in scenario 2 and 3.

Ghana: Statistical Issues

1. Although the quality and timeliness of the reporting of Ghana's core economic and statistics have improved in some respects, many weaknesses remain, notably, delays in the availability of data on international reserves, interest rates, and the consumer price index (CPI). Ghana is in the bottom quartile of Fund members in the timeliness of reporting core surveillance data. Additional areas where improvements need to be made are identified below. The central bank is also computerizing its databases, particularly with regard to economic indicators, in consultation with the Fund's Bureau of Computing Services.

Real sector

2. GDP estimates have been reported with considerable delay, in September 1998 a complete set of national accounts for the years 1995 and 1996 was published by the Ghana Statistical Service. However, only three major sectors of economic activity are accounted for and a review of the methodology used in preparing the data is still under way. Sectoral weights used in the calculation of aggregate GDP are to be revised on the basis of the 1992 Ghana Living Standards Survey (GLSS), and expenditure data are to be revised to improve the consistency of the national accounts data. The balance of payments data are produced by the Bank of Ghana.

3. In January 1998, a new CPI was introduced. The weights are computed according to the standard consumption basket estimated from the 1992 GLSS. The new basket reduced substantially the weight for clothing from 19 percent to 9 percent, while the weights for medical care, housing, and transport were correspondingly increased. A set of comparable indexes based on the new consumption basket is available only after September 1997, and, consequently, the authorities use a spline method, by compounding inflation, to estimate the 12-month inflation rate from January to September 1998. In addition, the reporting lag for the CPI increased from one month to two months and longer. The wholesale price index was discontinued in 1991. Trade data are reported with gaps and the most recent figures for total exports and imports in *International Financial Statistics* (IFS) relate to 1996. Rather large discrepancies exist in the data reported for imports by the Ghana Statistical Service and the Customs Excises, and Preventive Services. Labor statistics in Ghana are also produced with a considerable lag and wage statistics are nearly nonexistent; to reduce delays, the United Nations Development Program (UNDP) and the International Labor Organization (ILO) are providing technical assistance to the Ministry of Employment. Unit value and volume indexes for total exports and imports are no longer supplied to Statistics Department (STA). Also, industrial production and wage indicators are not available.

Public finance

4. The timeliness of the reporting of public finance statistics was improved by the introduction in 1994 of a new expenditure coding system that allows data to be generated on a

cash basis from the central bank records. However, an economic classification of expenditures is available only with a lag of at least two months. Expenditure data on a commitment basis are not available, but efforts have recently been made to get large ministries to report their expenditure commitments and arrears to the Ministry of Finance. Expenditures financed by externally funded project aid are produced with a considerable lag and subject to estimation errors owing to timing differences, foreign exchange valuation, and the recording of the technical assistance component. However, staff estimates of these expenditures are derived from balance of payments data. Consolidated fiscal accounts are not compiled because data on autonomous government agencies (subvented agencies) and public enterprises are not reported. A World Bank mission reviewed the government's domestic debt data in August 1998.

5. Annual government finance data are reported for publication in the *Government Finance Statistics Yearbook (GFSY)*, although the coverage and timeliness of the data need to be improved; the latest available data cover the central government only and relate to the fiscal year ended December 31, 1993. Unless the authorities update the GFS data this year, the country page will be scheduled for deletion in GFSY. These data include all the major components of the government finance statistics tables, with the exception of debt, for which the latest data published in the *GFSY* relate to 1985. The authorities reported fiscal data for the 1996 *GFSY*, but the data could not be published as they were not sufficiently detailed to allow conversion to the government finance statistics format. No monthly or quarterly data are reported for publication in *IFS*.

Monetary accounts

6. Monetary data are compiled on a regular basis. In December 1997, the monetary survey was extended to include 6 additional banks; it thus currently covers all 17 banks in the system. Notwithstanding the technical assistance provided since 1985, several problems persist in Ghana's monetary statistics. In particular, there are large deviations between data reported by commercial banks with respect to their deposits with the central bank and those reported by the Bank of Ghana. Moreover, foreign currency accounts are not valued at the end-of-period market exchange rates. A STA money and banking statistics mission (July 1997) proposed a plan of action and a timetable to resolve these problems. Among the issues that need to be addressed is the classification by residency of foreign currency deposits in commercial banks.

Balance of payments and external debt

7. Balance of payments data are published only annually. Trade data are available on a more frequent basis, but those for imports are impaired by unreliable customs statistics. No breakdown is available for either imports or exports of goods. Recent computerization resulted in some improvements in the customs records, but there is scope for further improvement. Balance of payments estimates up to 1997 have been submitted to STA. With

technical assistance from the Commonwealth Secretariat, significant improvements have been made in the debt-reporting system, although reconciliation of data between the Bank of Ghana and the Ministry of Finance still presents problems; nevertheless, efforts are being made to achieve further progress in this area.

Publication

8. The reporting of data to the Fund for purposes of publication in the IFS has recently improved. However, there are still lags of about four to five months in reporting exchange rates, prices, and international transactions data. In general, statistical information from official sources is not disseminated to the public on a timely basis. Even though the *Quarterly Economic Bulletin of the Bank of Ghana* is now published more regularly, the data show lags of up to six months. The *Quarterly Digest of Statistics* is usually published by the GSS with a longer lag.

9. Deficiencies in data dissemination have been brought to the attention of the Ghanaian authorities at the level of the Minister of Finance and the Governor of the Bank of Ghana.

Ghana: Core Statistical Indicators

(As of March 31, 1999)

	Exchange Rates	International Reserves	Reserve/ Base Money	Central Bank Balance Sheet	Broad Money	Interest Rates	Consumer Price Index	Exports/ Imports	Current Account Balance	Overall Government Balance	GDP	External Debt/ Debt Service
Date of latest observation	Feb. 1999	Feb. 1999	Feb. 1999	Feb. 1999	Jan. 1999	Dec. 1998	Feb. 1999	1998	1998	Jan. 1999	1998	1998
Date received	Mar. 1999	Mar. 1999	Mar. 1999	Mar. 1999	Mar. 1999	Jan. 1999	Mar. 1999	Feb. 1999	Feb. 1999	Mar. 1999	Feb. 1999	Feb. 1999
Frequency of data 1/	D	M	M	M	M	M	M	Q	A	Q	A	A
Frequency of reporting 2/	W/M	M	M	M	M	M	M	Q	A	Q	A	A
Source of data 3/	BOG	BOG	BOG	BOG	BOG	BOG	MOF	BOG	BOG	BOG	MOF	MOF
Mode of reporting 4/	C, R	R, V	R, V	R, V	R, V	C, R	C, R	R	R	R, V	R	R, V
Confidentiality 5/	N	C	C	C	C	N	N	C	C	C	C	C

1/ A=annual; Q=quarterly; M=monthly; W=weekly; and D=daily.

2/ Q=quarterly; M=monthly; V=infrequently, typically during staff visits; and W=weekly.

3/ Direct reporting by Bank of Ghana (BOG), Ministry of Finance (MOF), or other official agency.

4/ C=cable of facsimile; E=electronic data transfer; M=mail; R=provided to resident representative; and V=staff visits.

5/ C=restricted until officially published; N=no restrictions.